

Background to savings investment, KiwiSaver and superannuation [¶29-010]

[¶29-010]

[Click to open document in a browser](#)

Portfolio investment entity regime

The portfolio investment entity (PIE) regime brings the tax treatment of individual investors into closer alignment with the tax treatment of investors in superannuation funds or KiwiSaver schemes. Entry to the regime by investment vehicles is optional providing certain requirements are met.

KiwiSaver

KiwiSaver, New Zealand's work-based savings scheme, is voluntary and operates by employers deducting a set portion of an employee's earnings, in much the same way as PAYE, and passing it on to an approved scheme provider for investment on the employee's behalf. From 1 April 2008, matching employer contributions became compulsory.

Retirement savings schemes

The retirement savings scheme operates alongside KiwiSaver and aligns the tax treatment of certain other organisations that make retirement savings contributions for members with the tax treatment of KiwiSaver schemes. Under the retirement savings scheme regime, certain eligible contributing entities are required to deduct retirement scheme contribution tax (RSCT) from contributions made to approved retirement schemes for their shareholders or members and pay the RSCT to Inland Revenue (IR). Where RSCT is deducted, the contribution is excluded income of the saver.

Superannuation

Superannuation schemes are generally treated for tax purposes like any other form of investment savings entity. The aim of the superannuation scheme provisions is to tax all superannuation schemes constituted as trusts under the ordinary trust taxation provisions.

Last reviewed on 31 December 2025

Background to the PIE regime [¶29-100]

[¶29-100]

[Click to open document in a browser](#)

The PIE regime is a system for taxing collective investment entities that operate principally at the retail (or individual investor) level. A collective investment vehicle may attract funds for investment on a portfolio (passive) basis from both retail investors and wholesale investors. The PIE regime provides that the returns of retail investors are effectively subject to the imposition and payment of income tax in the hands of the PIE as a collective investment vehicle. This relieves the investor from the obligation to furnish a return of income reporting the investment income and making payment of the tax. Wholesale investors and certain other eligible investors in the PIE may be treated as “zero-rated” investors so as to be personally liable to report and pay tax on the investment income derived from the PIE.

The PIE regime as an income tax collection mechanism substantially relies on the other tax regimes for the determination of what is income for the PIE. For example, a PIE’s income from portfolio investment in foreign equities would be determined under the foreign investment fund rules ([¶26-110](#)). However, a specific but important exception to this reliance on other regimes is that gains from the disposal of the shares of a company resident in New Zealand or the shares of a company resident in Australia that are listed on the ASX are excluded income of a PIE. This is a deliberate feature of the PIE regime that recognises that these kinds of investment, if held directly by the investors in the PIE, would most likely be held on capital account. Effectively, gains from trading in both categories of shares are not assessable income for the PIE.

The PIE regime assists with the promotion of retirement savings by enabling the taxation of investment income on a non-distortionary basis or at a concessional rate. Taxation on a non-distortionary basis is achieved by the investment income of a lower marginal rate investor being taxed at the investor’s lower rate rather than a higher “corporate” rate that otherwise might be ascribed to a collective investment vehicle. The legislative provisions for the PIE regime are predominantly found in subpart [HM](#) of the Income Tax Act 2007 (IT07).

Law: IT07 ss [CX 55](#), [HM 1](#), [HM 6](#)

Last reviewed on 31 December 2025

Types of PIE [¶29-105]

[¶29-105]

[Click to open document in a browser](#)

A PIE may be one of 5 different kinds of PIE. The kinds of PIEs are:

- # a *multi-rate PIE* — an unlisted entity that calculates and pays tax on the basis of the portfolio investor rate notified by its investors and that may maintain more than one portfolio investor class
- # a *listed PIE* — a company listed on a recognised exchange in New Zealand that has only one portfolio investor class and that is subject to the company rate of income tax
- # a *benefit fund PIE* — a registered superannuation scheme operating on the principle of unallocated funding that does not attribute income to investors
- # a *life fund PIE* — a discrete investment fund maintained by a life insurer with investment returns directly linked to benefits payable under life insurance policies associated with the fund
- # a *foreign investment PIE* — either a foreign investment zero-rate PIE or a foreign investment variable-rate PIE.

An entity that is choosing to become a PIE must satisfy further eligibility criteria concerning investors, types of investment and income, depending on the type of PIE it is.

Law: IT07 ss [HM 2](#), [YA 1](#) (“[benefit fund PIE](#)”, “[life fund PIE](#)”, “[listed PIE](#)”, “[multi-rate PIE](#)”, “[PIE](#)”, “[portfolio investment entity](#)”)

Last reviewed on 31 December 2025

Entity requirements for becoming a PIE [¶29-110]

[¶29-110]

[Click to open document in a browser](#)

To become a PIE an entity must meet the eligibility requirements, choose to become a PIE and notify the Commissioner by lodging the appropriate election.

The requirements specified in s [HM 7](#) state that a PIE must:

- # meet the detailed entry requirements as applicable:
- # the PIE must be resident in New Zealand (s [HM 8](#))
- # the PIE must be a collective investment vehicle (s [HM 9](#))
- # the entity, with the exception of a life fund PIE, must not carry on a business of life insurance (s [HM 10](#))
- # effective 1 April 2025, the entity must not be a registered bank or a licensed non-bank deposit taker (s [HM 10B](#))
- # investors in the assets of the PIE, other than a life fund PIE, must have rights to all of the income from those assets and not just certain classes of income, other than category B income (ie no streaming of income classes to different investors) (s [HM 17](#))
- # a company not listed on a recognised exchange in New Zealand may choose to become a listed PIE if it meets the specified criteria (s [HM 18](#))
- # the PIE must not have ceased to have PIE status within the previous 5 years (s [HM 20](#))
- # be one of the types of PIE listed in s [HM 2\(2\)](#):
 - # a multi-rate PIE (the most common type)
 - # a listed PIE
 - # a benefit fund PIE
 - # a life fund PIE, or
 - # a foreign investment PIE
- # choose to become a PIE (s [HM 71](#)) or a foreign investment PIE (s [HM 71B](#))
- # maintain the requirements of the rules in ss [HM 8–HM 20](#), as applicable, (which include requirements as to investment types, income sources, maximum shareholdings, minimum numbers of investors, and maximum investor interests), and
- # not lose PIE status under the exit rules in ss [HM 24–HM 30](#).

Law: IT07 ss [HM 2–HM 30](#), [HM 71](#), [HM 72](#), [HM 75](#), [YA 1](#) (“benefit fund PIE”, “life fund PIE”, “listed PIE”, “multi-rate PIE”, “PIE”, “portfolio investment entity”)

Last reviewed on 31 December 2025

Election to become a PIE [¶29-111]

[¶29-111]

[Click to open document in a browser](#)

An entity choosing to become a PIE or a foreign investment PIE must notify the Commissioner in the prescribed electronic format.

An election takes effect on the latest of the following dates:

- # the date the entity is formed
- # the date set out in the notice
- # 30 days before the Commissioner receives the notice.

An entity's election to become a PIE will not take effect if within 12 months it cancels the election or breaches any one of the eligibility criteria under ss [HM 24](#) to [HM 28](#).

Where an entity with a non-standard balance date chooses to become a PIE it will have a transitional income year. The transitional income year will commence on the date the election to become a PIE takes effect and will end on the following 31 March.

Notional disposal and reacquisition

Upon electing to enter the regime, a notional disposal and reacquisition of certain Australasian shares held by the entity occurs. Those shares are deemed to be disposed of and reacquired at market value. Unrealised gains on revenue account will be taxed and any resulting tax liability (free of penalties and interest) can be spread over 3 years (s [HM 73\(3\)](#)). Losses can be carried forward and either attributed to investors or, in some cases, carried forward to future income years. A similar deemed disposal and reacquisition occurs when a PIE leaves the regime (s [HM 75](#)).

Law: IT07 ss [HM 71](#), [HM 72](#), [HM 73](#), [HM 74](#), [HM 75](#); TAA s [31B](#)

Last reviewed on 31 December 2025

Ceasing to be a PIE [¶29-112]

[¶29-112]

[Click to open document in a browser](#)

PIE status will be lost if the entity fails to comply with certain eligibility requirements. Some eligibility requirements permit temporary breaches, in limited circumstances, before PIE status will be revoked. An entity will also lose PIE status if it chooses to cancel PIE status.

Immediate loss of PIE status

An entity will lose PIE status immediately if it:

- # changes its New Zealand residency status
- # changes the nature of its entity to one that is not eligible for PIE status (s [HM 9](#))
- # changes the rights of investors to all income from the assets (s [HM 17](#))
- # starts to carry on the business of life insurance and it is not a life fund PIE (s [HM 26](#))
- # fails to meet the investor interest adjustment requirements in s [HM 48](#) and it is a multi-rate PIE (s [HM 27](#))
- # fails to fully impute where imputation credits are available for distribution and it is a listed PIE, other than a life fund PIE (ss [HM 28\(1\)\(a\)](#) and [HM 19](#))
- # is a listed PIE that does not make an election to cancel its PIE status and ceases to be listed by a recognised exchange (s [HM 28\(1\)\(b\)](#))
- # is a listed PIE that makes an election to cancel its PIE status and the 2-year period (or such longer period as granted by the Commissioner) since its delisting from a recognised exchange expires (s [HM 28\(1\)\(c\)](#)), or
- # is a listed PIE, when the entity is not listed by a recognised exchange, the number of shareholders in the entity is less than 100 (s [HM 28\(1\)\(d\)](#)).

Loss of PIE when entity no longer meets investment or investor requirements

Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill proposes amendments to clarify that a PIE fund that holds cryptoassets is able to generate staking income and retain its status as a PIE.

A different approach is adopted for the failure to meet the remainder of the eligibility requirements. This is for the eligibility requirements that comprise:

- # the investment type requirement (s [HM 11](#))
- # the income source requirement (s [HM 12](#))
- # the maximum shareholding investment requirement (s [HM 13](#))
- # the minimum number of investors requirement (tested per investor class) (s [HM 14](#)), and
- # the maximum investor interest requirement (tested per investor class) (s [HM 15](#)).

An entity will lose its PIE status if, on the last day of a quarter (the first quarter), one of these requirements is no longer met and the failure to meet that requirement is significant and within the control of the entity. Loss of status begins on the first day of the following quarter (the second quarter).

Where a breach is “not significant” and/or “not within the control of the entity”, a temporary breach of those requirements is permitted provided that the breach is corrected by the last day of the second quarter. In effect the entity could have up to 6 months to remedy the breach depending upon when the breach first occurred. If the temporary breach is not remedied by the last day of the second quarter, the entity loses PIE status immediately following the end of that quarter.

Commencement or winding up

Temporary breaches of the 5 listed requirements are also further accommodated on the commencement and winding-up of a PIE. Measuring the temporary breaches does not need to be undertaken in respect of a first quarter that:

- # starts within 6 months and one day of the date on which the entity becomes a PIE, or the investor class is formed, or
- # ends within 3 months before an announcement by the entity to its investors that it, or the relevant investor class, is winding up within 12 months of the announcement.

Potentially, this gives an entity a maximum period of 12 months before failure to meet one or more of these requirements will trigger cancellation of PIE status.

Fund managers should ensure that their operating documents, eg trust deeds, provide them with the necessary powers to control and adjust for all factors to ensure ongoing compliance with the eligibility criteria.

Voluntary cessation

A PIE, including a foreign investment PIE, can also choose to cancel PIE status by providing the Commissioner notice in accordance with s [31B](#) of the Tax Administration Act 1994 (TAA).

An election to cease being a PIE is effective from the later of:

- # the date on which the entity became a PIE
- # the date nominated in the notice
- # the date of receipt of the notice by the Commissioner.

Section [31B](#) states that notice must be in the prescribed electronic form. Section [31B](#) also states that notice must be provided within one month of the cancellation of PIE status.

Law: IT07 ss [HM 24–HM 29](#), [HM 72](#), [HM 75](#); TAA s [31B](#)

Last reviewed on 31 December 2025

Foreign PIE equivalent [¶29-113]

[¶29-113]

[Click to open document in a browser](#)

A foreign PIE equivalent is, broadly, a non-resident entity that would be eligible to be a PIE if it were resident in New Zealand. Foreign PIE equivalents are able to hold 100% of a New Zealand resident PIE, and vice versa (s [HM 3](#)). The definition of a foreign equivalent PIE includes an Australian managed investment trust (MIT) provided that the MIT is not a tax resident in New Zealand. Several exceptions to the investment and investor requirements apply for foreign PIE equivalents (s [HM 23](#)).

A foreign PIE equivalent loses that status immediately if it becomes resident in New Zealand and, alternatively, may lose that status if it fails to meet any of the other eligibility requirements to be a foreign PIE equivalent at the end of 2 consecutive quarters, with such loss taking place from the first day of the next (being the third) quarter.

Law: IT07 ss [HM 3](#), [HM 23](#), [HM 30](#)

Last reviewed on 31 December 2025

Multi-rate PIEs [¶29-115]

[¶29-115]

[Click to open document in a browser](#)

A multi-rate PIE is a company, superannuation fund or a group investment fund that:

- # meets the requirements of s [HM 7](#)
- # chooses to become a PIE
- # has not chosen to cancel its PIE status, and
- # is not a benefit fund PIE.

A multi-rate PIE must generally have at least 90% (by value of its assets) of its investments in:

- # land
- # financial arrangements
- # excepted financial arrangements
- # rights or options in any of the 3 categories above.

The usual tax treatment of companies and trusts does not apply to multi-rate PIEs. In practice, multi-rate PIEs are the most common type of PIE.

Taxation of investment income

In very general terms, the investment income of a multi-rate PIE is notionally attributed to its respective investors on the basis of their investment in the multi-rate PIE. Income tax is paid by the multi-rate PIE on behalf of those investors based on their individual income attributions and at a tax rate notified to the PIE by each investor (the notified investor rate). This resembles the liability that would arise if the investors had made the investments separately. A multi-rate PIE may have more than one investor class if investors in the entity are organised into classes on the basis of like investments.

Attribution to investors

A multi-rate PIE must distribute income to investors after deducting the appropriate tax liability. A multi-rate PIE can choose how frequently it attributes PIE income, expenses, losses and credits to its investors. Attributions are made for an investor as a member of an investor class. The attribution period selected by a multi-rate PIE determines the period and frequency at which attributed PIE income and losses are attributed to investors. The attribution period can be daily, monthly, quarterly or annually, and on investor exit. A multi-rate PIE cannot elect an attribution period that is longer than its calculation period (see below). If a multi-rate PIE makes no election, its attribution period is daily.

Calculation of investors' tax liability

A multi-rate PIE can also choose how often it calculates its investors' income tax liability during an income year. A calculation period may cover a number of attribution periods. A multi-rate PIE can elect to calculate its investors' income tax liability quarterly, as a provisional taxpayer, or annually and on investor exit. In the latter case, the entity either pays tax when the investors exit the entity, under s [HM 42](#), or, for investors who remain in the entity, within one month of the end of the tax year. The tax liability would be the PIE tax liability for all calculation periods of the tax year. If no election is made, a multi-rate PIE is required to calculate its investors' income tax liability quarterly.

Provisional tax

A multi-rate PIE with a calculation period of a year may elect to pay tax under the provisional tax regime (s [HM 44](#)). Provisional tax payments are a credit against the tax liability of the multi-rate PIE. The use of money interest rules may apply for provisional tax underpaid or overpaid.

Quarterly basis

Multi-rate PIEs that calculate tax quarterly do not pay provisional tax. When a multi-rate PIE calculates its tax liability on a quarterly basis, it is required to pay tax (less any optional tax payments made by the multi-rate PIE under s [HM 45](#) for investors switching investor classes or reducing their investment) within one month following the end of the quarter.

Voluntary payments

A multi-rate PIE which pays tax quarterly or annually may elect to make a voluntary payment of tax when an investor reduces their investor interest. This may ensure that the relevant investor attributed PIE income is excluded income that the investor does not need to include in a tax return.

Credits

The multi-rate PIE may receive a tax credit for an investor's attributed PIE loss ([¶29-135](#)). This is provided the investor is not a zero-rated investor (or an exiting investor who is treated as a zero-rated investor under s [HM 61](#)). Specific rules apply to the attribution of imputation credits and credits for tax deducted or foreign tax paid. The credits may be attributed among investors or be a tax credit for the multi-rate PIE, depending upon the circumstances.

An investor who has a notified investor rate equal to their prescribed investor rate and greater than zero, has no tax liability on the income attributed to them by the multi-rate PIE.

Tax rate

The tax rate to be applied by a multi-rate PIE varies from investor to investor. The rate is referred to as the "portfolio investor rate" and is capped at 28% or, if the investor advises the multi-rate PIE within the required time period and provides their tax file number, is the investor's "prescribed investor rate".

Notification of tax file number

An investor in a multi-rate PIE (other than a PIE listed on a recognised exchange in New Zealand) must notify the PIE of their tax file number within 6 weeks of becoming an investor in the PIE. If they do not do so, the multi-rate PIE fund is required to close the member's account and pay them the balance of their investment. Non-resident investors who do not have a tax file number but provide their country's equivalent are not subject to the 6-week notice requirement. However, if the non-resident investor becomes resident, they must notify the PIE they have become resident immediately and the 6-week period will begin to run from the date of notification of residency.

Prescribed investor rate

The "prescribed investor rate" (PIR) is (Sch [6](#), table 1 and 1B):

- # 0% if the investor is a New Zealand resident (these investors are termed "zero-rated investors") (s [HM 57](#)):
 - # company (including a unit trust)
 - # charity registered under the Charities Act 2005
 - # proxy acting under s [HM 53](#)
 - # PIE or superannuation fund (provided that the trustees have not chosen a 17.5% or 28% rate), and
 - # person who derives income as a trustee and has not chosen a 10.5%, 17.5% or 28% rate
 - # 0% for:
 - # an investor treated under s [HM 61](#) as zero-rated
 - # a non-resident person who is a notified foreign investor in a foreign investment zero-rate PIE, and
 - # a transitional resident who is an investor in a foreign investment zero-rate PIE

10.5% for a New Zealand resident:

natural person who, in either of the 2 income years immediately before the relevant tax year, derived:

- a. from 1 April 2025, \$15,600 (previously, \$14,000) or less in taxable income (such as salary, wages, interest and investment income from entities that are not multi-rate PIEs), and
- b. from 1 April 2025, \$53,500 (previously, \$48,000) or less in the sum of their taxable income and net income attributed from multi-rate PIEs, or

trustee of certain testamentary trusts

17.5% for a New Zealand resident:

natural person who, in either of the 2 income years immediately before the relevant tax year, derived:

- a. from 1 April 2025, \$53,500 (previously, \$48,000) or less in taxable income (such as salary, wages, interest and investment income from entities that are not multi-rate PIEs), and
- b. from 1 April 2025, \$78,100 (previously, \$70,000) or less in the sum of their taxable income and net income attributed from multi-rate PIEs, and
- c. who did not qualify for the 10.5% rate, or

trustee of a trust that notifies the multi-rate PIE of this rate for the relevant tax year

28% if the investor is:

a natural person who is a New Zealand resident who did not qualify for the 10.5% or 17.5% rate

a New Zealand resident trustee of a trust that notifies the multi-rate PIE of this rate for the relevant tax year, or

a non-resident.

The Commissioner may notify a multi-rate PIE of a tax rate to apply for an investor in that PIE if:

the investor does not have a notified investor rate, or

the Commissioner considers the investor's notified investor rate is inconsistent with the investor's PIR and the Commissioner holds sufficient information to determine the appropriate rate for the investor.

This allows the Commissioner to proactively provide PIEs with investors' PIRs.

A multi-rate PIE pays tax at the corporate rate in respect of non-resident investors. Income that is unable to be attributed to an investor is treated as income of the multi-rate PIE and is taxed at the corporate tax rate.

Zero-rated investors are taxable on their attributed PIE income under the usual tax rules applying to companies or trusts. A zero-rated investor may be attributed tax credits and imputation credits and be permitted a deduction for an attributed PIE loss.

For new tax residents determining their PIR, the person must include the total amount of their non-residents' foreign-sourced income in their assessable income. Section [HM 57B](#) overrides s [CW 27](#) (Certain income derived by transitional residents). The new tax resident may choose not to apply the provision for either the income year in which they become a New Zealand resident or the following income year, or for both resident years, if they reasonably expect that their taxable income in the relevant resident year will be significantly lower than their total income from all sources for the income year before the first resident year.

The attributed PIE income of individual investors is generally excluded income ([¶29-145](#)).

Law: IT07 ss [HM 6](#), [HM 11](#), [HM 31–HM 48](#), [HM 56–HM 61](#), [YA 1](#) ("benefit fund PIE", "multi-rate PIE", "notified investor rate", "prescribed investor rate"), Sch [6](#); TAA s [28B](#)

Last reviewed on 31 December 2025

Calculation of multi-rate PIE tax liability [¶29-120]

[¶29-120]

[Click to open document in a browser](#)

A multi-rate PIE must calculate its portfolio entity tax liability for each investor and for each class of investor in an attribution period using the following formula:

$$\text{percentage} \times (\text{income} \# \text{loss}) \div \text{days in period} \# (\text{expenses} \# \text{credits for fees})$$

where, in general terms:

percentage is the percentage of the investor's entitlement for the day to a distribution by the PIE to that investor class for the period

income is the taxable income for the investor's investor class for the period (s [HM 35\(5\)](#) and [\(7\)](#), ie assessable income less deductions)

loss is the amount of tax loss for the investor's investor class for the period (s [HM 35\(5\)](#) and [\(7\)](#))

days in period is the number of days in the attribution period

expenses is the total for the day in the period of any management or administration fees paid from or charged to the investor's account as a member of the investor class and any expenditure of the investor transferred under subpart [DV](#)

credits for fees are any credits for fees paid or credited to the investor's account as a member of the investor class on the day.

The portfolio entity tax liability is calculated in relation to an investor class and the investors in the class to enable tax credits for New Zealand and foreign tax paid to be attributed among the investors.

Fees

In *Tax Information Bulletin* [¶196-114 Vol 19, No 6](#), July 2007 at 42, the Commissioner explained that the item for expenses permits a deduction for fees charged to an investor's account (calculated as the amount of fees multiplied by the portfolio investor rate of the investor) to be used to directly reduce the portfolio entity tax liability for the investor. The fees that would be deductible are those that are charged to the investor for ongoing management and administration services, including switching fees, in relation to the investor's interest. The Commissioner added that the formula also takes into account any fee tax credits (rebates) credited to the investor's account. These tax credits would increase the portfolio entity tax liability of the investor, as they would be taxable if paid directly to the investor.

To permit fees to reduce the income tax payable by the entity, on behalf of investors, is a measure designed to prevent investors having to file a tax return to get a deduction separately. Consequently, fees charged by the multi-rate PIE that are included in the portfolio entity tax liability calculation are not deductible separately to the investor. Similarly, any credits for fees are treated as excluded income to the investor ([¶29-145](#)).

Tax payable by multi-rate PIE

The amount of tax payable by a multi-rate PIE for a calculation period is the sum of the amounts for:

- # each investor class in which the investor has an interest
- # each investor in an investor class
- # each attribution period in the calculation period, and
- # each day in the attribution period.

The formula for the calculation is:

$$\text{rate} \times \text{amount}$$

where:

amount is the net income or loss (as calculated in formula above)

rate is the investor's notified rate or notified foreign investor rate ([Sch 6, Table 1B](#)) or 28% to the extent which the PIE is the sole investor.

Interest rate swaps held by multi-rate PIEs

Note: Interest rate swaps can cause volatile changes in value for multi-rate PIEs. These swaps are generally taxed under the financial arrangements rules. Method C in *Determination G27* contains one of the available spreading methods for these swaps. This method effectively ignores unrealised fair value gains or losses on interest rate swaps for tax purposes. The effect of this is that only interest rate swap cashflows are taxed. This reduces volatility and is appropriate because, while there can be significant fair value movements (both gains and losses) over the life of a swap, these movements should net to zero if it is held to maturity. Until recently Multi-rate PIEs could not use this determination method because of s [HM 35\(8\)](#) which overrode the spreading methods under the financial arrangements rules. As a result the volatile fair value movements on interest rate swaps were included in the taxable income of a multi-rate PIE. The intention behind the provision is to tax PIE income as it accrues to an investor rather than later when the investor may have already exited the PIE.

For the 2023 – 24 income year, and later years, this has been remedied. Section [HM 35](#) has been amended and Multi-rate PIEs are now able to spread income and deductions from interest rate swaps.

Law: IT07 ss [HM 35](#), [HM 36](#), [HM 46](#), [HM 47](#)

Last reviewed on 31 December 2025

Listed PIEs [¶29-125]

[¶29-125]

[Click to open document in a browser](#)

A listed PIE is a company that is listed on a recognised exchange in New Zealand or an unlisted company that satisfies the requirements of s [HM 18](#). It does not include a life fund PIE. Section [HM 18](#) allows unlisted companies to be treated as listed PIEs if they meet a number of criteria. The company must have at least 100 shareholders and must be listed on a recognised exchange within 2 years of it electing to be a listed PIE in order to retain that status.

A listed PIE is generally subject to tax in the same manner as a conventional company. However, it is subject to the rules for PIEs generally, such as the treatment as excluded income of gains from the sale of New Zealand shares and Australian ASX listed shares.

A listed PIE must attach full imputation credits (to the extent available) to distributions.

A listed PIE can group for loss offset purposes only with its wholly-owned subsidiaries (s [IC 3\(2C\)](#) and *Tax Information Bulletin* [¶238-106 Vol 23, No 8](#), October 2011 at 57).

Distributions from listed PIE

A dividend or distribution derived by an investor in a listed PIE may be excluded income if the investor is a natural person or trustee investor resident in New Zealand who does not include the receipt in a return of income (s [CX 56C](#)). A natural person or a trustee may elect to treat the distribution as a taxable amount and use any excess imputation credits as a credit against tax on other taxable income (*Tax Information Bulletin* [¶193-114 Vol 19, No 3](#), April 2007 at 50). A deliberate feature of the taxation of investors in a listed PIE is to allow the returns of a New Zealand resident trustee to be subject to the company rate of income tax rather than the trustee rate (*Tax Information Bulletin* [¶203-133 Vol 20, No 3](#), April 2008 at 117).

For all other kinds of investor the dividend or distribution is excluded income to the extent that the dividend is in excess of a fully imputed dividend. Up to that level the dividend is income. Taking both components together the dividend is effectively not subject to further tax under the combination of imputation credits and classification of the balance as excluded income. This treatment may permit, for example, the distribution to investors of capital gains from the sale of shares in a New Zealand company without investors paying tax on that income (*Tax Information Bulletin* [¶193-114 Vol 19, No 3](#), April 2007 at 50).

Law: IT07 ss [CX 56C](#), [HM 18](#), [HM 19](#), [IC 3](#), [YA 1](#) ("listed PIE")

Last reviewed on 31 December 2025

Excluded share gains of PIE [¶29-130]

[¶29-130]

[Click to open document in a browser](#)

The general principles relating to income and deduction apply to multi-rate PIEs. However, the disposal of certain shares receives special tax treatment.

Income derived by a PIE, other than a life fund PIE, from the disposal of a share is excluded income if the share is issued by a company:

- # resident in New Zealand (and not treated under a double tax agreement as not being resident in New Zealand), or
- # resident in Australia (and not treated under a double tax agreement as not being resident in Australia or New Zealand), listed on the Australian stock exchange and required to maintain a franking account.

The exclusion does not apply if the share is a fixed-rate share or a share for which the amount on cancellation is no more than the available subscribed capital per share calculated under the slice rule. In addition, there must not be an arrangement for assuring the PIE of having a gain on disposal.

However, s [CB 26](#) deems a taxable dividend to arise when a share that satisfies the above criteria of s [CX 55](#) is sold after a dividend is declared but before the dividend is paid. This is to prevent a PIE turning a taxable dividend receipt into a non-taxable gain on sale. Shares in a listed PIE are excluded, because dividends from listed PIEs are not taxable in any event.

Law: IT07 ss [CB 26](#), [CX 55](#)

Last reviewed on 31 December 2025

PIE losses [¶29-135]

[¶29-135]

[Click to open document in a browser](#)

Formation losses

Losses of a PIE arising before the entity elected to become a PIE (or as a result of becoming a PIE through the deemed disposal and re-acquisition process) are formation losses. Multi-rate PIEs that pay tax on a provisional tax basis and other PIEs can carry these losses forward to income years in which they are a PIE in accordance with the loss rules in Part I. Multi-rate PIEs that use the quarterly or exit calculation options may carry forward their formation loss to the quarter in which the entity becomes a PIE. The PIE may attribute the formation loss to investor classes for attribution periods for use against its net income in accordance with the following rules:

- # tax credits that originate from tax paid in New Zealand must be used before the portfolio entity formation loss can be applied (s [HM 70](#))
- # if the total formation loss is less than 5% of the total market value of the PIE's investments at the time it becomes a PIE, the PIE may allocate the entire formation loss to one or more attribution periods (s [HM 68](#)), and
- # where the total formation loss is 5% or more of the total market value of the PIE's investments at the time it becomes a PIE, the amount that the PIE may allocate to each day in an attribution period is limited to 1/1095 of the total formation loss. This effectively spreads the use of the formation loss over the period of the first 3 years of status as a PIE (s [HM 69](#)).

Regardless of the amount of formation loss that can be allocated to an attribution period pursuant to the above, s [HM 35\(5\)](#) limits the amount of formation loss that can be used to offset net income in an attribution period to the amount of the net income. This prevents a formation loss from being used to generate a taxable loss that would give rise to a refundable credit.

The definition of "formation losses" under s [YA 1](#) includes a tax loss arising from a period a PIE applied the provisional tax calculation method before applying a different calculation method.

Multi-rate PIE losses

Where a multi-rate PIE (which has not elected under s [HM 44](#) to be a provisional taxpayer) incurs losses in respect of its investment activities, those losses are attributed to each investor and, in the case of individual investors, to the extent that they are unused, the tax effect of those losses is converted to a tax credit for the benefit of the investor (payable to the multi-rate PIE) at the investor's tax rate ([¶11-092](#)). Those losses cannot be carried forward.

If a multi-rate PIE elects to be a provisional taxpayer under s [HM 44](#), any losses incurred in an income year can be carried forward rather than giving rise to a tax credit.

Zero-rated investors (or investors treated as such under s [HM 61](#)) can claim a deduction against their taxable income for the amount of any investor attributed losses in the income year corresponding to the tax year containing the attribution period ([¶29-145](#)).

The amount of the loss is disregarded for a notified foreign investor in a foreign investment PIE.

Land losses

When the total value of any land investments (held directly by the multi-rate PIE or through a land investment company or through a non-resident land investment company in which the investor class has a voting interest of greater than 20%) in a class exceeds 50% of the total market value of all the investments in that class, any losses arising from those land investments must be carried forward and offset against other

income from that class, and not against income from other investments (s [HM 65](#)). Such losses do not give rise to tax credit for the benefit of individual investors.

The amount of the land loss is disregarded for a notified foreign investor in a foreign investment PIE (s [HM 65\(5\)](#)).

Grouping

The grouping provisions under s [IC 3\(2B\)](#) in subpart [IC](#) apply to a multi-rate PIE that holds shares only in other wholly-owned multi-rate PIEs, foreign PIE equivalents, certain subsidiary companies or land investment companies. Otherwise, the grouping provisions do not apply to multi-rate PIEs. A listed PIE can group for loss offset purposes only with its wholly-owned subsidiaries (s [IC 3\(2C\)](#) and *Tax Information Bulletin* [1238-106 Vol 23, No 8](#), October 2011 at 57).

Law: IT07 ss [HM 55](#), [HM 64–HM 70](#), [IC 3\(2B\)](#), [YA 1](#)

Last reviewed on 31 December 2025

Multi-rate PIE credits [¶29-140]

[¶29-140]

[Click to open document in a browser](#)

The discussions below relate only to multi-rate PIEs that have chosen the quarterly or exit calculation options and do not pay tax on a provisional basis. A multi-rate PIE that pays provisional tax cannot in general attribute tax credits to investors. This means that these PIEs cannot use tax credits to offset tax liabilities as they arise, but must wait until the end of the income year to use them.

Tax credit for imputation credits and withholding tax

A multi-rate PIE is entitled to a refundable tax credit in respect of imputation credits and for tax paid or withheld in New Zealand that is attributed to certain types of PIE investor in a calculation period. The mechanism for attributing credits in s [HM 50\(3\)](#) mimics the way income is attributed to investors over the same attribution period. Credits are attributed to the class that held the investment that derived the credit, and to investors in that class in accordance with their percentage investor interest in the class and the number of days in the attribution period in which that investor was a member of the class.

Where an attributed tax credit in respect of imputation credits and for tax paid or withheld in New Zealand exceeds an investor's attributed tax liability, the excess amount of the credit is refundable to the multi-rate PIE. The multi-rate PIE attributes that refund to the investor by making an investor return adjustment.

A multi-rate PIE is not entitled to the benefit of imputation credits or other credits for tax paid in New Zealand in respect of a zero-rated investor, including an investor who is treated as zero-rated as a consequence of exiting a PIE that uses the quarterly tax calculation option during a calculation period. A multi-rate PIE passes credits through to zero-rated investors who use them in accordance with s [LS 3](#) or s [LS 4](#) ([¶29-145](#)).

Tax credit for an attributed PIE loss

Multi-rate PIEs calculate their tax liability on an aggregate/entity basis by reference to the attributed PIE income or attributed PIE loss for each investor and each investor's notified tax rate. Accordingly, if the aggregate tax calculation for all of the investors in the multi-rate PIE results in a tax loss, the entity as a whole has a tax loss. Where this occurs, the multi-rate PIE is entitled to a refundable tax credit under ss [HM 55](#) and [LS 1](#) in the tax year in which the tax credit was determined. The tax credit is attributed to the relevant investors in accordance with s [HM 48](#) in that same tax year (ie the PIE undertakes an adjustment to investor interest of an investor to distribute the tax credit proportionally to investors based on their investor interest and their notified tax rate). Because the calculation of the PIE's tax loss and tax credit is based on the notified tax rates of investors, it can only receive a tax credit for an attributed PIE loss of an investor who is not a zero-rated investor.

Foreign tax credits

Foreign tax credits are attributed to the class that held the investment that derived the credit and to investors in that class in accordance with their percentage investor interest in the class and the number of days in the attribution period in which that investor was a member of the class. Unlike the New Zealand tax paid credits, foreign tax credits are not eligible to be refunded. In addition, a multi-rate PIE has no foreign tax credit when the investor is a zero-rated investor, an exiting investor treated as zero-rated or a notified foreign investor in a foreign investment PIE.

When a multi-rate PIE attributes a foreign tax credit to a non-zero-rated investor, the credit may be used by the multi-rate PIE to offset the tax liability attributable to that investor in respect of any investor class in the multi-rate PIE in which the investor holds an investor interest. Multi-rate PIEs are not subject to the ordinary limitations on the use of foreign tax credits under s [LJ 2](#) and can thus use those credits to reduce tax on New Zealand-sourced income and foreign income of a different nature and source.

Foreign tax credits can only be used by the multi-rate PIE to reduce the investor's attributed PIE tax liability and can only be utilised in the tax year in which they arise. Foreign tax credits that are not used by the multi-rate PIE by the end of the tax year are not refundable or transferable and are forfeited. However, for a multi-rate PIE that uses the quarterly tax calculation option, the credit can be used in a later calculation period in the same tax year. For a multi-rate PIE that uses the exit calculation option, the credit can be used in an earlier or later calculation period in the same tax year.

A remedial amendment made in 2021 clarifies that a natural person investor may only use their investor's tax credit in making a PIE schedular tax adjustment under s [HM 36B](#), and the amount of the tax credit that may be used is limited to the extent of the investor's tax liability on their PIE schedular income.

Foreign investment PIEs

From the 2013–14 income year, changes were made to the application of supplementary dividend tax credits (also known as foreign investment tax credit (FITC)) under s [LP 2](#) for foreign investment PIEs. These changes aligned the tax treatment of non-resident portfolio investments made through foreign investment PIEs with those portfolio investments made directly. The FITC rules ensure that the tax rate is limited to 28% on non-resident portfolio investments.

The effect of the rules under ss [HM 55C–HM 55H](#) is the FITC rules apply to the extent that the company tax has already been paid. See *Tax Information Bulletin* [¶2410-113 Vol 24, No 10](#), December 2012 at 62 for a more detailed discussion.

Law: IT07 ss [HM 47\(5\)](#), [HM 49–HM 55](#), [LS 1](#)

Last reviewed on 31 December 2025

Tax treatment of multi-rate PIE investors [¶29-145]

[¶29-145]

[Click to open document in a browser](#)

A PIE generally calculates and pays tax on account of investors in the entity. The objective is to ensure that investors in the PIE generally have no income tax liability or tax reporting obligations beyond the income tax paid by the PIE.

An investor in a PIE is a person with a shareholding or interest in the entity. In the case of a PIE that is a multi-rate PIE it is recognised that there may be different classes of investor. Investor classes reflect the different investment categories maintained by the multi-rate PIE.

Investors in a multi-rate PIE elect a tax rate and notify the PIE of their election (notified investor rate). This rate is based on the investor's "prescribed investor rate" (PIR) ([¶29-115](#)).

Investors have income and losses attributed to them. See [¶29-135](#) for a discussion on multi-rate PIE losses.

Attributed PIE income derived by an investor in a multi-rate PIE is generally excluded income of the investor except where:

- # the investor is a zero-rated investor ([¶29-115](#)). A zero-rated investor accounts for tax on the income from the portfolio investment and, as part of that approach, may be eligible to personally utilise losses and tax credits
- # the investor advises the multi-rate PIE of the incorrect PIR ([¶29-115](#)). In that case the income is not excluded and must be returned by the investor, with a corresponding credit available for the tax liability satisfied by the multi-rate PIE ([s LS 2](#))
- # the income is included in an investor exit period. An exit period may not arise if the multi-rate PIE pays tax quarterly and elects to voluntarily pay tax upon the investor reducing their investor interest, or
- # the investor is a trustee who has chosen a notified investor rate of either 17.5% or 10.5%.

An investor is not allowed a deduction for fees attributed to the investor by the multi-rate PIE. The fees are taken into account in the calculation of the tax liability of the multi-rate PIE.

It is the investor's responsibility to respond to the multi-rate PIE's annual tax rate request. If the multi-rate PIE is not notified that a different prescribed investor rate should be used, the multi-rate PIE may continue calculating the income tax liability in respect of the investor's attributed income using the previous year's rate. A New Zealand resident investor has one month to respond to a multi-rate PIE's request for a tax file number.

An investor in a multi-rate PIE (other than a PIE listed on a recognised exchange) must notify the PIE of their tax file number within 6 weeks of becoming an investor in the PIE. If they do not do so, the multi-rate PIE fund is required to close the member's account and pay them the balance of their investment. The member is treated as reaching the exit level and the PIE is required to calculate its tax liability in relation to the exiting investor. Non-resident investors who do not have a tax file number but provide their country's equivalent are not subject to the 6-week notice requirement. However, if the non-resident investor becomes resident, they must notify the PIE they have become resident immediately and the 6-week period will begin to run from the date of notification of residency.

To achieve refundability of overpaid tax on PIE income and symmetry between over and underpayments, a year-end square-up process applies for all individual investors in multi-rate PIEs, regardless of whether tax on PIE income has been correctly, over- or under-withheld during the tax year.

This square-up applies the correct PIR to the PIE income to determine the PIE tax payable. The PIE tax that has been deducted during the tax year is a tax credit against the PIE tax payable. Any refund due or tax payable is added to the person's end of year tax position and will either be refunded, payable or reduce the person's tax payable.

Distributions from a multi-rate PIE

Distributions or dividends from a multi-rate PIE are generally excluded income to the investor. Credits for fees attributed to an investor are also excluded income to the investor where those credits are included in the PIE's tax liability.

As excluded income, distributions from a multi-rate PIE and credits for fees are not included in the income thresholds for:

- # family assistance ([¶12-125](#))
- # student loans ([¶18-010](#)), and
- # child support ([¶12-015](#)).

Dividends from a PIE are excluded from being resident passive income ([¶15-030](#)).

Zero-rated investors

Any attributed PIE income of a zero-rated investor is taxable to the investor. Generally, a deduction is available for the amount of any losses attributed to the investor. Zero-rated investors that are multi-rate PIEs themselves are treated as having received any attributed credits received by the multi-rate PIE, without restriction ([¶29-140](#)). Zero-rated investors are also entitled to a credit for any tax liability satisfied by a multi-rate PIE in relation to the investor's attributed PIE income, any foreign tax credit under s [HM 52](#), and any other amount of tax credit under s [HM 54](#) (s [LS 3](#)).

Exiting a multi-rate PIE

When a multi-rate PIE pays income tax quarterly and an investor exits the entity during a quarter (or within 5 days following a quarter end), the investor's attributed income for that last quarter may be zero rated by the multi-rate PIE. If that occurs the investor is required to pay the income tax on the attributed income for the last quarter. The multi-rate PIE informs IR of those zero-rated amounts paid to investors. An investor is entitled to a credit for any tax actually paid by a multi-rate PIE in relation to an amount of attributed income for an investor exit period, any foreign tax credit under s [HM 52](#), and any other amount of tax credit under s [HM 54](#) (s [LS 4](#)).

When a multi-rate PIE pays tax annually, any income tax in respect of any attributed PIE income of an exiting investor must be calculated and deducted from the exiting investor's proceeds. That tax is then paid by the multi-rate PIE to IR in the month following the investor's exit.

Mechanisms exist for calculating the tax liability and tax credits of investors who switch portfolio investor classes or reduce the level of their investment in a multi-rate PIE during an income year. Multi-rate PIEs may choose to make voluntary tax payments when those events occur.

Disposal of interest in a PIE

Where an investor disposes of an interest in a PIE, the tax treatment of that disposal will depend on ordinary tax principles. If the investment in the PIE is held on capital account, then any gain on sale will not be taxable. On the other hand, if the interest is held on revenue account any gain will be included as taxable income.

Law: IT07 ss [CP 1](#), [CX 56](#), [CX 56B](#), [CX 57](#), [DB 53](#), [DB 54](#), [HM 36B](#), [HM 52](#), [HM 54](#), [LS 2–LS 4](#), [RE 2\(5\)\(bb\)](#); TAA ss [28B](#), [31C\(5\)](#)

Last reviewed on 31 December 2025

Compliance requirements for multi-rate PIE [¶29-150]

[¶29-150]

[Click to open document in a browser](#)

A multi-rate PIE must file a return in the prescribed form showing its tax liability for the relevant period together with any further information that may be required and pay any income tax.

If the PIE does not calculate and pay its tax using the exit calculation or provisional tax calculation options, the filing and tax payment obligations must be performed within one month of the end of the calculation period. A PIE that calculates and pays its tax using the provisional tax calculation option must carry out its obligations as to calculation and payment of tax in accordance with the provisional and terminal tax rules.

In the case of a PIE that calculates and pays its tax using the exit calculation option, the entity must file the return and pay tax for an exiting investor within one month of the end of the exit period (or by 15 January if the exit period ends in the preceding November). For investors who hold an investor interest at the end of the tax year, the PIE must calculate and pay tax within one month of the end of the tax year.

An additional return must also be filed by the PIE showing any voluntary payments of tax that have been made but not already included in a return. The relevant return must be filed within one month of the end of the period for which the tax was paid (or by 15 January if that period ends in the preceding November).

A PIE must file its return for a tax year in electronic form showing the amount of its tax liability and providing the investment income information required by the Commissioner by:

- # 15 May after the end of the tax year if the entity has a corresponding income year ending before the end of the tax year, or
- # the end of the second month after the end of the PIE's corresponding income year if it ends after the end of the tax year, or
- # the end of the third month after that in which the entity loses PIE status if that event occurs in the corresponding income year.

The particular investment income information required is set out in s [25J](#) and Sch [6](#) of the TAA.

Notices should also be provided by a multi-rate PIE to investors giving information that the Commissioner considers relevant. The date by which the notice must be given differs depending on the type of investor (s [31C](#) of the TAA).

At least once every year a multi-rate PIE must request that investors provide the entity with the investor's prescribed investor rate ([¶29-115](#)).

Law: TAA ss [25J](#), [31B](#), [31C](#), [57B](#), [Sch 6](#)

Last reviewed on 31 December 2025

Foreign investment PIEs [¶29-155]

[¶29-155]

[Click to open document in a browser](#)

The foreign investment PIE rules address the problem of over-taxation of non-resident PIE investors. The rules apply to a person who elects to be a *notified foreign investor* — in broad terms, a non-resident other than a CFC, a non-portfolio FIF or a non-resident trustee of a trust other than a foreign trust. The objective of the reforms is for a foreign investment PIE to have a tax liability approximating that which the non-resident investor would have had if the investment had been made directly. Secondly, the notified foreign investor will have no tax liability on PIE income unless they are treated as an investor of that type when they in fact failed to meet the relevant criteria for a notified foreign investor.

To enter the regime, the non-resident person must provide the PIE with prescribed information, including name, address, country and tax file number. Responsibility for correctly asserting status as a notified foreign investor lies with the investor, not the PIE.

A foreign investment PIE is a multi-rate PIE that meets the criteria in ss [HM 55C–HM 55H](#) and elects to become either a foreign investment zero-rate PIE or a foreign investment variable-rate PIE. If the foreign investment option is not taken, the entity is taxed under the residual PIE rules at a 28% rate on income attributable to non-residents. A multi-rate PIE can choose to become a foreign investment PIE if it has non-resident investors and does not calculate its income tax liability using the provisional tax calculation option.

A zero-rate PIE is taxed at 0% on all PIE income that is attributable to non-residents. As a general rule, these PIEs may derive only foreign-sourced income, although there are some exceptions for “allowable amounts” so as to provide flexibility (ss [HM 19B](#) and [HM 55G](#)).

A variable-rate PIE is able to invest in New Zealand and overseas assets, but there are different tax rates on income attributable to non-resident investors. The particular rate is determined by the type of income and its source. Despite the general rule that a PIE can hold an interest in land, a foreign investment variable-rate PIE is prohibited from holding an investment that includes an interest, right or option in relation to land in New Zealand (s [HM 19C\(1\)](#)).

Calculating income of foreign investment PIEs

The following tax rules apply to ensure that PIE income attributed to non-resident investors is taxed in the same way as income from non-residents' direct investment:

- # The foreign investment PIE cannot deduct expenditure or loss relating to the derivation of income attributable to a notified foreign investor, or a transitional resident who has elected a zero tax rate.
- # The income calculation rules in ss [HM 35–HM 47](#) prevent the deduction of expenses from the income of a notified foreign investor.
- # A variable-rate PIE must calculate the income tax liability for each notified foreign investor on the basis of the particular income type and source (s [HM 47\(2B\)](#)).
- # A zero-rate PIE is not required to identify attributed income by type and source because all the income attributed to the foreign investor is taxed at 0%.
- # A foreign investment PIE must place notified foreign investors in a notional class separate from other investors subject to the normal PIE tax rules.
- # A flow-through rule in s [HM 6B](#) allows a variable-rate PIE to treat certain New Zealand-sourced income derived from a zero-rate PIE as a foreign-sourced amount. This income comprises the small amounts allowed under s [HM 55G](#) as an exception to the requirement that zero-rate PIEs must derive only foreign-sourced amounts.
- # A foreign investment PIE is not allowed to calculate its income tax liability on an income year basis and use the provisional tax option under s [HM 44](#).

Tax Information Bulletin [¶238-106 Vol 23, No 8](#), October 2011 at 27 discusses foreign investment PIEs in more detail.

A more detailed discussion of the changes implemented under the Taxation (Annual Rates, Returns Filing, and Remedial Matters) Act 2012 can be found in *Tax Information Bulletin* ¶2410-113, ¶2410-114 Vol 24, No 10, December 2012 at 62 and 70.

Law: IT07 ss [CP 1](#), [CX 56](#), [CX 56B](#), [DB 54B](#), [HM 1](#), [HM 2](#), [HM 6](#), [HM 6B](#), [HM 19B](#), [HM 19C](#), [HM 35C](#), [HM 41\(4\)](#), [HM 44\(1B\)](#), [HM 44B](#), [HM 47](#), [HM 55C–HM 55H](#), [HM 71B](#), [IC 3](#), [LS 1](#), [LS 2](#), [YA 1](#) (“foreign investment PIE”, “notified foreign investor”), [Sch 6](#); TAA ss [28D](#), [31B](#), [31C](#)

Last reviewed on 31 December 2025

KiwiSaver — background and overview [¶29-200]

[¶29-200]

[Click to open document in a browser](#)

KiwiSaver is a workplace savings scheme designed to help New Zealanders save for their retirement. It is primarily aimed at employees but all New Zealanders may join a KiwiSaver scheme. Before 1 July 2019, only New Zealanders under the age of 65 could join a scheme. KiwiSaver started on 1 July 2007 and is governed by the KiwiSaver Act 2006 (KIW).

All eligible employees starting a new job after 1 July 2007 are automatically enrolled in a KiwiSaver scheme. There is provision for the employees to “opt out”, but only in the early stages of membership. Other individuals may join KiwiSaver schemes by “opting in”.

The scheme operates by employers deducting a set portion of an employee’s earnings, in much the same way as PAYE, and passing it on, via IR, to an approved scheme provider for investment on the employee’s behalf. All employee contributions to KiwiSaver schemes are matched by compulsory employer contributions.

All people who contribute to a KiwiSaver scheme (or a superannuation fund which is substantially similar to a KiwiSaver scheme, ie a complying superannuation fund) are eligible for a Government contribution equal to the amount of their contribution to the scheme up to \$260.72. Employer contributions do not count for the purposes of this Government contribution.

Trans-Tasman portability of retirement savings

A person with retirement savings in both New Zealand and Australia may consolidate the savings in their country of residence. KiwiSaver members who permanently emigrate to Australia are able to transfer their KiwiSaver funds, including all Government contributions, to an approved Australian superannuation scheme and vice versa. This optional treatment is the result of an inter-government memorandum of understanding for trans-Tasman savings portability concluded in July 2009 (*Tax Information Bulletin* [¶2210-109 Vol 22, No 10](#), November 2010 at 50–52).

KiwiSaver first home subsidy

KiwiSaver members can withdraw their accumulated savings and their Government contributions to use for the purchase of a first home ([Sch 1 cl 8](#) of the KIW) after 3 years of contributing to KiwiSaver ([¶129-260](#)). A balance of \$1,000 must be left in the account to ensure a member’s account stays open. Amounts transferred from an Australian complying superannuation scheme cannot be withdrawn.

Members who have not owned a home may also be entitled to a first home deposit subsidy. The first home deposit subsidy is administered by Kōwhiri Ora.

The KiwiSaver first home deposit subsidy is a social assistance suspensory loan in recognition of the social policy objects met by this loan. This ensures that recipients of the loan are not subject to income tax when the loan is forgiven. See Income Tax (Social Assistance Suspensory Loans) Amendment Order 2010.

Transfer of lock-in UK funds between KiwiSaver schemes

A KiwiSaver provider or a KiwiSaver member can elect for the member’s locked-in UK retirement funds to be transferred from a KiwiSaver scheme into a New Zealand Qualifying Recognised Overseas Pension Scheme (QROPS). Once the UK funds have been transferred to a QROPS, the remaining balance of the KiwiSaver account can then be transferred to another KiwiSaver scheme. Prior to an amendment which took effect from 1 April 2025, such a transfer could result in UK tax implications for the member. See *Tax Information Bulletin* [¶375-102 Vol 37, No 5](#), June 2025 at p 39 for further discussion.

Additional resources

A full summary of the KIW and employers' obligations under the Act is available in CCH, *New Zealand Superannuation Guide*.

IR published a booklet [KS 4](#), "KiwiSaver employer guide", updated August 2025.

Further information can be found on the IR website at ird.govt.nz/kiwisaver.

Law: KIW ss [3](#), [220C](#), [220D](#)

Last reviewed on 31 December 2025

KiwiSaver members [¶29-215]

[¶29-215]

[Click to open document in a browser](#)

All eligible employees starting new permanent employment after 1 July 2007 (other than on a secondment or with an exempt employer) are automatically enrolled as members of KiwiSaver. Eligible employees are New Zealand citizens aged between 18 years and the age of eligibility for New Zealand Superannuation (currently 65).

A person who is not automatically enrolled in KiwiSaver can “opt in” to KiwiSaver. A person who opts in can either contract directly with a KiwiSaver scheme provider or arrange for their employer to start making contributions on their behalf to a KiwiSaver scheme by providing the employer with a KiwiSaver deduction notice (form [KS 2](#), “KiwiSaver deduction form”). Form [KS 2](#) is contained in the KiwiSaver employee information pack that new employees should be given and existing employees can request from their employer.

Employees must notify their employer of their KiwiSaver status or any change in it. Their KiwiSaver status encompasses:

- # whether they are a member of an existing KiwiSaver scheme or are choosing to opt into a scheme
- # if they are an existing member:
 - # their deduction rate
 - # whether they are on a saving suspension (before 1 April 2019, a contributions holiday)
 - # whether they wish to cease deductions because they have reached New Zealand superannuation qualification age
 - # whether they have chosen to opt out of a scheme
 - # if they are a new member, the information required by the Commissioner, including nominating a contribution rate.

This notification can be entered directly into the employer’s software system or on the prescribed paper form: [IR 346K](#) “New employee and KiwiSaver details”.

Employees under the age of 18 are not subject to automatic enrolment but can choose to join KiwiSaver by contracting with a KiwiSaver provider directly. The rules that apply to children under 18 years old provide that children under 16 can be enrolled only by a legal guardian and cannot enrol themselves. However, children aged 16 and 17 can enrol themselves if a legal guardian co-signs the enrolment application. Children aged 16 or 17 who do not have a legal guardian can contract directly with a KiwiSaver provider (*Tax Information Bulletin* [¶2210-109 Vol 22, No 10](#), November 2010 at 53–54). When a child under the age of 18 is enrolled the employer is advised by IR of the contribution rate for that employee and the commencement date for KiwiSaver deductions. Employees under the age of 18 are not entitled to compulsory employer contributions or to the annual Government contribution. However, note that from 1 July 2025, the age of entitlement for the Government contribution was decreased to 16 years of age. IR has released a guide for KiwiSaver and children and young people: [KS 33](#) (August 2025).

Temporary employees who are employed for 28 days or less and casual agricultural workers ([¶13-190](#)) who are employed for less than 3 months are not automatically enrolled in KiwiSaver, but can choose to join KiwiSaver if they wish. Temporary employees or casual agricultural workers whose employment is extended beyond the specified time period are automatically enrolled in KiwiSaver from the date their employment exceeds the threshold. Casual workers (as deemed by s [28\(1\)\(a\)\(ii\)](#) of the Holidays Act 2003) who are paid holiday pay regularly with their salary or wages are also excluded from automatic enrolment.

New Zealand Government employees who are serving outside New Zealand are eligible to join KiwiSaver only if they are employed under New Zealand terms and conditions and it is lawful to offer KiwiSaver in the jurisdiction they are serving in. These employees are not automatically enrolled.

Self-employed people and other people who are not employees can contract directly with KiwiSaver providers to become KiwiSaver members. Private domestic workers who pay their own PAYE are not automatically enrolled in KiwiSaver but can opt in to KiwiSaver.

Law: KIW ss [4](#) (“[KiwiSaver status](#)”), [9–14](#), [22](#), [33–37](#)

Last reviewed on 31 December 2025

Automatic enrolment in a KiwiSaver scheme [¶29-220]

[¶29-220]

[Click to open document in a browser](#)

From 1 July 2007, every employer in New Zealand is required to automatically enrol all new eligible permanent employees into a KiwiSaver Scheme on the day they commence employment. Eligible employees are New Zealand citizens aged between 18 years and the age of eligibility for New Zealand Superannuation (currently 65). It does not include an employee who is a seconded.

Employers must ask all new employees if they are already a KiwiSaver member. If they are not, the employer must give the employee a KiwiSaver information pack within 7 days of starting work. These information packs contain all the necessary information for employees to be able to make a decision regarding their participation in KiwiSaver. The information packs must also be given to any employees who opt- in to KiwiSaver or who request a pack because they are considering opting in.

Employers must provide IR with the names and tax file numbers, and, if required, the address, of all employees who are automatically enrolled or who opt in to KiwiSaver; see form [IR 346K](#) "New employee and KiwiSaver details". The information must be given no later than the time the employer is next required to deliver their employment income information after the information is given to the employer.

An employer who has selected a preferred KiwiSaver provider must also supply employees with:

- # the product disclosure statement for the offer of interests in that scheme, and
- # notification that, if employees do not choose their own scheme, they will be allocated to the employer's chosen scheme (and not to one of the default KiwiSaver schemes).

The automatic enrolment rules do not apply if an employee is already a member of a KiwiSaver scheme. However, a person may only be a member of one KiwiSaver scheme at a time. This means that, when an employee changes employers, contributions deducted by the new employer must be paid via IR to the member's existing KiwiSaver scheme, or to a new scheme if the member wishes. If the member selects a new scheme, savings in the original scheme will be transferred to the new KiwiSaver scheme. This is achieved by the new KiwiSaver scheme provider providing notification to the existing provider and to IR.

See also IR's checklist, "Meeting your employer obligations for KiwiSaver", KS 45 (April 2022).

Law: KIW ss [23](#), [40–43](#)

Last reviewed on 31 December 2025

Opting out of KiwiSaver [¶29-225]

[¶29-225]

[Click to open document in a browser](#)

Opting out

An employee who is automatically enrolled in KiwiSaver can choose if they want to stay with KiwiSaver, or opt-out. The opt-out period for employees runs from the end of week 2 of their employment to the end of week 8. Up until the time the employee opts out of KiwiSaver, contributions to KiwiSaver will be made. To opt out the employee must provide IR or the employer with an opt-out notice (form [KS 10](#), “New employee opt-out request”). The notice is effective from the date it is accepted by IR or received by the employer, as the case may be. In practice, the employee can complete and return the form during the first 2 weeks, but it will not be actioned by IR until the end of the second week. Form [KS 10](#) is contained in the KiwiSaver employee information pack given to all new employees on their start date ([¶29-220](#)).

If an employer receives the opt-out notice, they must give notice of it to the Commissioner no later than the time the employer is next required to deliver employment income information in relation to the employee.

For the purposes of ss [17–20](#) of the opt-out rules a PAYE intermediary is treated as an employer.

Late opt-outs

Late opt-outs will only be accepted at the Commissioner’s discretion if one or more of the following applies:

- # the employer did not supply the employee with an information pack within 7 days of the employee starting new employment
- # IR did not send the product disclosure statement for the default KiwiSaver scheme to which the employee was allocated
- # the employer did not supply the product disclosure statement for the employee’s chosen KiwiSaver scheme, if the employer had a preferred scheme provider in place
- # events outside of the employee’s control meant that the opt-out notice could not be given within the time limit for opting out and, in the opinion of the Commissioner, it is reasonable that a late opt-out notice be accepted, or
- # a mistake has occurred and the person does not meet the requirements.

The Commissioner may accept a late opt-out notice if it is received by the Commissioner or employer up to 92 days after the date when IR receives an employee’s first contribution. If a late opt-out notice is received and the Commissioner does not accept it, the notice will be treated as if it were an application for a savings suspension, if the person is eligible to apply for one ([¶29-245](#)). If a savings suspension is granted in lieu of an opt-out, IR will not notify the employer named on the opt-out request.

Standard Practice Statement [SPS 07/04](#): “Discretions to be exercised by the Commissioner of Inland Revenue under the KiwiSaver Act 2006” sets out the Commissioner’s practice in exercising some of his discretions under the KIW, eg accepting or declining late opt-outs or applications for savings suspension.

Invalid membership

Special rules apply if a person’s enrolment was invalid and the KIW has been applied to the person by mistake. As soon as the mistake is discovered it must be notified to the Commissioner or KiwiSaver scheme provider. The person is treated as having met the requirements for an initial backdated validation period of up to 92 days after the mistake is notified. If during that initial period the person does meet the requirements to apply the KIW, the Commissioner will confirm the backdated validation. If not, the Commissioner will refund the contributions made, including interest.

Minors who have been incorrectly enrolled into KiwiSaver may opt-out up until their 19th birthday. This does not apply to those who, either with the consent of their guardian (if still a minor) or independently (if aged 18), have subsequently contracted directly with a provider.

Where a person has been invalidly enrolled on the basis of not meeting the residence requirement, their membership will end on the day that their scheme provider discovers, or is notified about, the mistake. There will be no backdated validation in this situation and contributions will be refunded.

Law: KIW ss [16–21](#), [59A–59D](#)

Last reviewed on 31 December 2025

Contributions to KiwiSaver [¶29-230]

[¶29-230]

[Click to open document in a browser](#)

An employer is required to deduct contributions from an employee's gross wages or salary from the first payday after the employee starts work. Unless the employee elects to go on a "savings suspension" ([¶29-245](#)), contributions will continue until the employee leaves service.

Employer contributions are subject to employer's superannuation contribution tax (ESCT) and ESCT is required to be deducted from employer contributions made to a KiwiSaver scheme ([¶29-420](#)).

Member contributions

The default contribution rate for employees to KiwiSaver is 3% of an employee's gross salary or wages, with an option for employees to contribute at a higher rate of 4%, 6%, 8% or 10% by notifying their employer, scheme provider or the Commissioner. If an employee changes their rate, the new rate applies to the next payment of salary or wages that is calculated after the employer receives notice.

From 1 April 2026, the default 3% contribution rate above is increased to 3.5% unless the employee applies for a temporary rate reduction (see below).

The default employee contribution rate will increase to 4% from 1 April 2028; however once again, the rate is 3% if the employee applies for a temporary rate reduction.

Gross salary or wages means "salary or wages" before deduction of tax. "Salary or wages" is generally given the same meaning in the KIW as in s [YA 1](#) of the IT07, except that certain pensions, accommodation benefits, main benefits, benefits under employee share schemes, redundancy payments and living allowances are excluded.

Extra pays are included in the KiwiSaver definition of "salary or wages" unless otherwise excluded or the amount of the extra pay is a redundancy payment. Parental leave payments and payments of compensation under the accident compensation legislation are also included, except when calculating the amount of an employer's compulsory contribution (see below).

Example:

Linda joined NZ Co in November 2017. She earns \$500 per week before tax and other deductions. She has not opted out of KiwiSaver and has not given NZ Co notice requiring contributions at the higher rate of 8%. Using tax code "M", PAYE would be \$77.15 with KiwiSaver contributions of \$15 per week (3%). Linda's net pay would be \$407.85 (\$500 # \$77.15 (tax) # \$15 (KiwiSaver contribution)).

IR provides KiwiSaver contribution calculations in the PAYE deduction tables (IR340 and IR341) and PAYE payroll specifications for employers to use.

Additional contributions, above the 3%, 4%, 6%, 8% and 10% rates (as applicable), can be made by employees directly to their KiwiSaver scheme providers from their tax-paid salary or wages, depending on the terms of the particular KiwiSaver scheme.

Self-employed people and other people who are not employees may contract directly with a KiwiSaver scheme provider and make contributions directly to a KiwiSaver account.

From 1 July 2024, the Government pays a 3% contribution into the KiwiSaver accounts of those members on paid parental leave who pay 3% of their parental leave payments into their KiwiSaver accounts. ESCT will be deducted from this Government contribution in the same way as if the contribution were made by an employer. If a member wants deductions to be made from paid parental leave payments, the member will need to provide IR with a KiwiSaver deduction notice asking IR to deduct KiwiSaver contributions from the paid parental leave payments.

KiwiSaver contributions will not automatically be deducted from weekly ACC compensation. The member can, however, request the Accident Compensation Corporation to make KiwiSaver deductions by providing it with a KiwiSaver deduction notice ([KS2](#)).

Temporary rate reduction

An application for a rate reduction may be made from 1 February 2026 and must include the member's name and address, IRD number, the period for which the rate reduction is to apply, and any other information required by the Commissioner. The period of the rate reduction may be for 92 days as a minimum and must last for no more than a year.

Once an employer has been notified of a rate reduction, the employer must make deductions of contributions from the salary or wages of the members at 3% with effect from the next payment of salary or wages that the employer calculates.

A rate reduction is temporary in nature, and the Commissioner must notify both the member who applied for the rate reduction and the employer when the rate reduction comes to an end. Once an employer has been notified of an end of a rate reduction, the employer must cease making contributions at 3% and commence making contributions at the applicable increased rate with effect from the next payment of salary or wages after the date the rate reduction ended. See *Tax Information Bulletin* [¶377-102 Vol 37, No 7](#), August 2025 at p 9 for further discussion.

Second jobs

An employee who is a KiwiSaver member who starts a second job will have contributions deducted from their salary or wages in both the existing and new jobs. The employee cannot opt out of membership in their other job. However, the employee can apply for a savings suspension if the employee is eligible for this ([¶129-245](#)). The savings suspension may be for all jobs or just for those selected by the employer.

An employee who has an existing job (and is not a KiwiSaver member) and starts a second job will be automatically enrolled in the second job. Contributions will be deducted from the employee's salary or wages in their second job (and any subsequent jobs that the employee starts) but will not be payable on salary or wages from their first job.

Non-deduction notices for members post withdrawal age

Members who have reached withdrawal age (superannuation qualification age, which is currently 65) may choose to remain in their KiwiSaver scheme. Members who are still employed may continue to have their contributions deducted from their salary, or they may choose to stop making contributions. Members who wish to stop contributing to their KiwiSaver scheme after they reach withdrawal age must give their employer a "non-deduction notice" instructing the employer to cease deducting the contributions from their salary or wages. See s [112B](#).

Employer contributions

Contributions are required to be made by employers for an employee who:

- # is aged 18 or more (or aged 16 or more with effect from 1 April 2026)
- # has not reached the age where they are entitled to withdraw funds from a KiwiSaver account
- # has not withdrawn funds because of a life-shortening congenital condition ([¶129-260](#))
- # is paid salary or wages from which they are making contributions to their KiwiSaver scheme (or complying superannuation fund — see below), and
- # is not a member of a defined benefit scheme (certain registered schemes existing before 17 May 2007).

This requirement applies to employers that are resident in New Zealand for tax purposes ([¶11-120](#) and [¶11-140](#)), that carry on business through a fixed establishment in New Zealand or who choose to be subject to the KiW.

In addition to salary or wages

Compulsory employer contributions are in addition to an employee's gross salary or wages. Employers and employees may agree on how the compulsory employer contributions will be funded, but compulsory contributions must be paid in addition to an employee's gross salary or wages when an employee becomes a new member, or existing members begin new employment and there are no contractual terms accounting for the amount of compulsory employer contributions (*Tax Information Bulletin* [¶211-112 Vol 21, No 1](#), March 2009, p 36). The duty of good faith under s 4 of the Employment Relations Act 2000 applies to the parties to an employment relationship when they bargain any contractual terms relating to compulsory contributions and its associated matters.

KiwiSaver employer contributions however must be paid on top of the minimum wage. In *Faitala v Terranova Homes & Care Ltd* ([\(2012\) 10 NZELC ¶79-017](#)) the Employment Court held that it was unlawful for employees to be paid the minimum wage of \$13.50 per hour including the company's compulsory employer contribution. The mandatory requirements of the Minimum Wage Act 1983 were held to override s [101B](#) of the KiW. That is, the ability to contract out of s [101B](#) was not available when it conflicted with the Minimum Wage Act. The Court found that the Minimum Wage Act operated as a protective statute as one of its purposes was to protect vulnerable employees and it was described as a "minimum code". This reasoning was endorsed by the Court of Appeal on appeal (*Terranova Homes & Care Ltd v Faitala and Goff* ([\(2013\) 10 NZELC ¶79-036](#))).

The current contribution rate for employers is 3% of salary or wages. This will increase to 3.5% with effect from 1 April 2026 and to 4% with effect from 1 April 2028. If the employee is granted a temporary rate reduction (see above), the employer may choose to make employer contributions at the reduced rate.

Amount of the contribution

The amount of the compulsory employer contribution is calculated as:

$$(\text{payment of gross salary or wages} \times \text{compulsory employer contribution rate}) + \text{other contributions} + \text{hybrid schemes amount}$$

For the purposes of calculating the amount of compulsory employer contributions to be made by an employer to a KiwiSaver scheme, the KiwiSaver definition of "salary or wages" specifically excludes parental leave payments, ACC compensation payments and redundancy payments. "Redundancy payment" is given the same meaning as in the IT07.

For the purposes of calculating the employee deductions and compulsory employer contributions to be made by an employer to a complying superannuation fund, the KiwiSaver definition of "salary or wages" specifically excludes bonuses, commissions and other amounts not included in an employee's gross base salary or wages.

Other contributions include voluntary employer contributions, employer superannuation contributions to certain superannuation schemes registered before 17 May 2007, and contributions to Crown schemes.

Hybrid schemes amount is the amount for certain superannuation schemes registered before 17 May 2007 that have no other contributions for the period and retirement benefits are calculated by adding to the total employee's contribution a percentage of those contributions 5 years after the employee first becomes a member.

Complying superannuation fund

A complying superannuation fund was a registered superannuation scheme that had been approved by the Financial Markets Authority (FMA) under the Superannuation Schemes Act 1989 as operating under effectively the same rules as a KiwiSaver scheme, particularly in respect of lock-in, transfer and reporting rules.

With effect from 1 December 2014, the Superannuation Schemes Act was incorporated into the Financial Markets Conduct Act 2013 and a complying superannuation fund is a scheme that is identified as a complying superannuation fund on the register of managed investment schemes (see s [6](#) of that Act).

Refunds of employer contributions

If an employee opts out of KiwiSaver after an employer contribution is paid to IR, the Commissioner must refund the amount to the employer if the contribution is still with the Commissioner. If the amount has been paid to the provider, the provider must refund the employer contribution to the Commissioner. This is subject to time bar. See [¶29-265](#).

Law: KIW Pt [3](#), subparts [1](#), [3A](#), [3B](#), ss [4\(1\)](#), [112B](#)

Last reviewed on 31 December 2025

Deduction and payment of KiwiSaver contributions [¶29-240]

[¶29-240]

[Click to open document in a browser](#)

Deduction of employee KiwiSaver contributions and payment of compulsory employer contributions begin from the time a new employee commences work or the employer receives a deduction notice. If an employee later opts out of the scheme, any contributions already deducted or paid will have to be refunded ([¶29-225](#)).

All employee and employer KiwiSaver contributions must be paid to IR at the time the usual PAYE deductions are paid ([¶13-020](#)). The details of employer and employee KiwiSaver contributions form part of the employee income information requirements ([¶13-023](#)).

In order to improve IR's ability to ensure the correct contribution amounts are being received and that they are taxed at the correct rate, employers must provide in their employment income information the amount of salary and wages a KiwiSaver deduction is made from for a new employee if there is a difference between amounts an employer must treat as gross earnings for calculating PAYE and amounts they must treat as salary and wages for calculating KiwiSaver employee and employer contributions.

IR forwards employee and employer contributions to an employee's scheme provider as soon as practicable after receiving the employee income information that an employee or employer contribution has been deducted (even where the amount has not yet been received by IR), meaning the contributions can be forwarded to scheme providers sooner than they otherwise would be.

It has been clarified that if a change occurs to the minimum employee KiwiSaver contribution rate that affects the contribution to be deducted from a payment of salary or wages, the rate to be applied to determine the amount of the contribution is the rate applying on the day on which the salary or wages are paid. In addition, the compulsory employer contribution rate to be applied if there is a change in that rate is the rate applying on the day on which the salary or wages are paid.

The penalty provisions of the TAA apply to late payments of KiwiSaver deductions to IR ([¶14-047](#)).

IR will hold all contributions received for 62 days after a member joins KiwiSaver before passing these on to the KiwiSaver provider. IR may hold further contributions if agreement has been reached with the provider on a minimum level of contributions that can be passed on. All contributions held by IR will earn interest, which will be paid net of tax.

Employer contributions for employees in 2 or more funds

Section [101FC](#) of the KIW may exempt an employer from making a top-up contribution if an employee is a member of a KiwiSaver scheme and an existing employer superannuation fund. Provided that the amount of the contributions to the existing employer superannuation fund is calculated using a rate equal to or greater than the compulsory employer contribution rate, there is no additional contribution payable to the employee's KiwiSaver fund.

Grace period

An employer is given a grace period for non-payment of compulsory employer contributions in certain circumstances (s [101FB](#)).

Law: KIW Pt [3](#), Pt [4](#), subpart [3](#)

Last reviewed on 31 December 2025

Savings suspension from KiwiSaver [¶29-245]

[¶29-245]

[Click to open document in a browser](#)

Except in cases of financial hardship, a savings suspension will be available to an employee only after they have been a member of KiwiSaver for more than 12 months.

After 12 months as a KiwiSaver member, an employee can request a savings suspension for a minimum of 92 days and a maximum of one year. To request a savings suspension an employee must complete a KiwiSaver savings suspension request (by phoning IR or online request via MyIR). As soon as practicable after granting the request, IR must give notice:

- # to the employee — confirming the beginning and end dates of the savings suspension
- # to each relevant employer — advising a savings suspension has been granted and that the employer must stop making KiwiSaver deductions, and
- # to the scheme provider — advising the suspension has been granted, the names of the relevant employers, and that deductions may not be made.

One month before the end of the savings suspension, IR will notify the employer to restart making KiwiSaver deductions. Members can apply for a new savings suspension when an existing savings suspension has less than 6 months left to run.

Standard Practice Statement [SPS 07/04](#): “Discretions to be exercised by the Commissioner of Inland Revenue under the KiwiSaver Act 2006” sets out the Commissioner’s practice in exercising some of his discretions under the KIW, eg accepting or declining applications for savings suspensions on the ground of financial hardship.

When an employee is granted a savings suspension, the requirement for employers to make compulsory contributions also ceases for the duration of the suspension.

Law: KIW ss [102–114](#)

Last reviewed on 31 December 2025

Government contribution for KiwiSaver [¶29-250]

[¶29-250]

[Click to open document in a browser](#)

People who contribute to a KiwiSaver scheme (or a complying superannuation fund) are eligible for a tax credit based on the amount of their contribution to the scheme, up to a maximum of \$260.72 a year. The tax credit (also known as the “Government contribution”) is not available to members earning over \$180,000 in taxable income for a tax credit year from 1 July 2025.

Prior to 1 July 2025, the maximum amount of the tax credit was \$521.43.

To obtain the maximum tax credit, a member must have contributed \$1,042.86 in a year. The tax credit is available to KiwiSaver members regardless of their employment status. Employer contributions do not count for the purposes of the tax credit.

To qualify for the tax credit, the KiwiSaver member must be between the ages of 16 and the age for eligible withdrawal from KiwiSaver (in most cases 65 years). Prior to 1 July 2025, the tax credit was not available to those under the age of 18. Members are required to have a principal place of residence in New Zealand, subject to certain limited exceptions for Government employees or volunteers working abroad. In addition, they must not have made a withdrawal for a life-shortening congenital condition ([¶29-260](#)).

The tax credit will be claimed annually by the scheme provider on the member's behalf and will be applied to the member's KiwiSaver account. The amount payable will be calculated based on the “tax credit year”, which means a year beginning on 1 July and ending on 30 June.

In most cases the tax credit is paid by IR directly to the provider. The tax credit is applied by the KiwiSaver provider to the investments that the member has been allocated in the scheme. Any tax credits paid by the Commissioner are deemed to be excluded income of the person deriving the payment (s [CX 50](#)).

The tax credit can only be withdrawn by the member in the case of death, serious illness, for a first home purchase, or in the case of a life-shortening congenital condition ([¶29-260](#)). The tax credit cannot be withdrawn for financial hardship or to meet a tax liability on foreign superannuation withdrawal. If a member permanently emigrates overseas and chooses to withdraw or transfer their KiwiSaver interest, generally, the nominal value of the tax credit must be repaid to the Government.

Law: IT07 ss [CX 50](#), [MK 1\(1\)](#), [MK 2–MK 8](#); TAA s [68C](#)

Last reviewed on 31 December 2025

Withdrawal of savings from KiwiSaver [¶29-260]

[¶29-260]

[Click to open document in a browser](#)

Before 1 July 2019, generally, a member's savings were locked in to KiwiSaver until the later of the member reaching the New Zealand superannuation qualification age (currently 65 years) and the date on which the person had been a member of a KiwiSaver scheme for 5 years.

The 5-year lock-in period was removed with effect from 1 July 2019. Members are able to withdraw their funds when they reach the New Zealand Superannuation age, regardless of how long they have been a member. Transitional provisions provide that over 60-year-olds who joined KiwiSaver before 1 July 2019 remain locked in for the duration of the 5-year period, ensuring they are subject to the same conditions and entitlements as when they joined KiwiSaver.

Purchase of first home

A member who has contributed to KiwiSaver (or a complying superannuation fund or a work-based superannuation scheme where the employer is exempt from automatic enrolment for 3 years) may be eligible to make a withdrawal towards the purchase of their **first** home.

Any such withdrawal excludes a \$1,000 balance that must be retained in the account to ensure the account is not closed.

To qualify for the first home purchase withdrawal, the purchase must be the principal residence of the member or the member and their family.

Note that if a member has owned a home before, in some circumstances they may still be eligible to withdraw their savings to purchase a home. Such second-chance homeowners will be required to show they are in the same financial position as a first home buyer. Only a person's assets and liabilities are considered for this.

Significant financial hardship

If a member is suffering or is likely to suffer significant financial hardship (defined in clause 11 of [Sch 1](#) to the KIW), the member may make an application to the manager (or trustees of restricted schemes) to withdraw all or part of their accumulation in the scheme. Any such withdrawal would exclude the Crown's \$1,000 start-up contribution (if relevant) and any Government contributions but may include interest (positive or negative) on that contribution.

The manager must be satisfied that the member has explored and exhausted other reasonable alternative sources of funding. In addition, the manager may direct that the amount withdrawn be limited to that which, in their opinion, is required to alleviate the member's particular hardship.

Serious illness

A member may make an application for a withdrawal of the member's accumulation where the member is suffering from a serious illness. Any such withdrawal may include the Crown's \$1,000 start-up contribution (if relevant) and any Government contributions.

Serious illness means an injury, illness or disability that:

- # results in the member being totally and permanently unable to engage in work for which they are suited by reason of experience, education or training or any combination of these things, or
- # poses a serious and imminent risk of death.

The manager (or trustees of a restricted scheme) may require medical and other evidence to support a member's application for a withdrawal due to serious illness.

Life-shortening congenital conditions

Members with life-shortening congenital conditions may apply to withdraw their savings when they retire, as this is likely to be before they reach the existing age of eligibility to withdraw (ie the qualification age for New Zealand superannuation, currently 65 years).

Conditions identified as life-shortening congenital conditions are listed in regulations, and these listed conditions guarantee early withdrawal. However, certain non-listed conditions that exist for a person from their date of birth and are likely to reduce the person's life expectancy below 65 years are also eligible for withdrawal under this category. The listed conditions approved under reg [32](#) of the KiwiSaver Regulations 2006 (as inserted by the KiwiSaver (Life-shortening Congenital Conditions) Amendment Regulations 2021) are:

- # Down syndrome (Down's syndrome)
- # cerebral palsy
- # Huntington's disease (Huntington's chorea), and
- # fetal alcohol spectrum disorder.

All members have to provide a medical certificate issued by a medical practitioner to verify they suffer from a listed or non-listed life-shortening congenital condition to withdraw their savings. They also have to complete a statutory declaration that they understand that their KiwiSaver funds are to be released to them as if they had reached the New Zealand superannuation qualification age, and that after the withdrawal of the funds they will no longer be eligible to receive government contributions or compulsory employer contributions in relation to any continuing member's contributions. A withdrawal on this basis may include the Crown's \$1,000 start-up contribution (if relevant) and any Government contributions.

Permanent emigration

On permanent emigration from New Zealand, a member will be able to request the withdrawal of their accumulation from the scheme, with the exception of emigration to Australia ([¶29-270](#)). However, an application to the trustees or the manager (as the case may be) cannot be made any earlier than one year after the member's permanent emigration.

Alternatively, a member may, on permanent migration, request their accumulation to be transferred to a foreign superannuation scheme authorised under the KiwiSaver regulations. The regulations will be available once arrangements have been entered into with foreign countries.

The manager of the scheme will require proof to their satisfaction of the member's permanent emigration from New Zealand and that the member has resided at an overseas address at some time during the year following the member's departure from New Zealand.

Tax liability for foreign superannuation withdrawal

Under the rules applying to most interests in foreign superannuation schemes, taxpayers are generally taxed on the receipt of lump sum withdrawals from such schemes, and this includes the withdrawal and reinvestment (ie transfer) of an interest from the foreign superannuation scheme to a New Zealand superannuation scheme, including KiwiSaver ([¶15-317](#) and [¶26-125](#)).

Under the rules, a taxpayer who transfers from a foreign scheme to a KiwiSaver scheme is able to withdraw sufficient funds from the KiwiSaver scheme to pay the tax that arises on transfer, as well as any student loan repayment obligation that arises. The application for a withdrawal of funds must be made within 2 years from the end of the month in which the tax liability or student loan repayment liability of the member is assessed

and must include a statutory declaration giving the relevant details of the foreign superannuation withdrawal, reinvestment and liability assessed.

The manager (or trustees of a restricted scheme) must make payment direct to IR if their systems allow for payment to someone other than a member. In all cases, the manager (or trustees) is required to notify IR of the details of any such withdrawal to meet tax or student loan repayment obligations.

Law: KIW [Sch 1](#)

Last reviewed on 31 December 2025

KiwiSaver — time bar and information sharing [¶29-265]

[¶29-265]

[Click to open document in a browser](#)

A 4-year time bar was introduced on increased and decreased assessments of KiwiSaver employer and employee deductions. This treats KiwiSaver employer and employee deductions the same as other PAYE deductions for time bar purposes.

The time bar means that, once 4 years have passed, the Commissioner may not amend an assessment to increase the amount assessed or decrease the amount of a net loss. A notable exception to this rule is that it does not apply in cases of fraud or willfully misleading the Commissioner. There is also a 4-year time bar on taxpayers' ability to claim a refund for overpayments of tax.

From 1 April 2024, the Commissioner of IR is able to electronically communicate information about deceased KiwiSaver members' estates to KiwiSaver providers. This will assist providers in contacting the executors or administrators of the deceased member's estate.

Law: KIW ss [91B](#), [220B](#); TAA s [108AB](#)

Last reviewed on 31 December 2025

Trans-Tasman portability of KiwiSaver scheme [¶29-270]

[¶29-270]

[Click to open document in a browser](#)

Portability arrangements allow the trans-Tasman portability of KiwiSaver retirement savings. These rules allow the consolidation of retirement savings in both Australia and New Zealand to a person's country of residence without a tax cost.

[Schedule 1 cl 14B](#) of the KIW provides the mechanism by which amounts in a KiwiSaver scheme can be transferred to an Australian complying superannuation scheme (defined under Australian legislation as a superannuation scheme regulated by the Australian Prudential Regulation Authority). Members in a KiwiSaver scheme who permanently emigrate to Australia may apply to the trustees or the manager (as the case may be) to transfer all of their funds to a complying Australian superannuation scheme.

The trans-Tasman portability rules mean that members in the KiwiSaver scheme are not able to withdraw any retirement savings in cash when permanently emigrating to Australia, unlike permanent emigration to other countries.

Likewise, Australian-sourced retirement savings can be transferred to a KiwiSaver scheme when a person emigrates to New Zealand from Australia and will not be subject to tax at the point of entry.

The source country rules will still apply to principal amounts of savings transferred. Accordingly, principal amounts transferred to New Zealand from Australia can be withdrawn at the Australian age of retirement of 60 years. Principal amounts transferred to Australia from New Zealand will only be able to be withdrawn at the age of 65. Other source country rules applying include New Zealand Government contributions (formerly referred to as member tax credits) not being paid on savings transferred from Australia together with the housing initiatives (see above) also not applying to such savings.

The transfer of savings under these rules is optional and as Australia and New Zealand have different tax rates applying to retirement savings, these should also be considered before savings are transferred.

Effective from 8 December 2021, the definition of "Australian complying superannuation scheme" has been amended to include the Australian Commissioner of Tax in their capacity as the holder of unclaimed superannuation money (USM). This enables the direct transfer of New Zealanders' Australian USM from the Australian Tax Office to a KiwiSaver scheme.

Law: IT07 s [CW 29B](#)

Last reviewed on 31 December 2025

Background to retirement scheme contribution tax (RSCT) rules [¶29-300]

[¶29-300]

[Click to open document in a browser](#)

A tax regime came into effect from 1 April 2007 for contributions by certain companies and Māori authorities to approved retirement savings schemes for their shareholders or members. Contributions may be subject to retirement scheme contribution tax (RSCT), which replaces income tax (and resident withholding tax) on retirement savings contributions. The rules also provide that contributions are not to be taken into account for social assistance purposes ([¶12-125](#)).

Entities wanting to make contributions to retirement savings schemes must request the Commissioner's approval to apply RSCT to those contributions. To obtain approval, the contributing entity and the retirement savings scheme must meet specified criteria. Generally, to be eligible for RSCT, the schemes must lock in the contributions until the shareholder or member's retirement, although withdrawals may be allowed for specific events.

The introduction of RSCT was consistent with the Government's review of savings investment in New Zealand and the introduction of KiwiSaver and the PIE regime. It was intended that RSCT would reduce the saver's compliance costs and, accordingly, reduce barriers to savings. Before the introduction of RSCT, contributions to retirement savings schemes were subject to resident withholding tax (RWT). If an incorrect amount of RWT was deducted the saver was required to seek a refund or pay additional income tax. This required the saver to file a tax return. Further, the contributions formed part of the saver's income for social assistance purposes.

The introduction of RSCT was intended to make the tax treatment of contributions to retirement savings schemes more consistent with the tax treatment of employers' contributions to superannuation schemes, fringe benefits and portfolio investment income.

Law: IT07 subpart [RH](#)

Last reviewed on 31 December 2025

Eligibility to use RSCT rules [¶29-305]

[¶29-305]

[Click to open document in a browser](#)

Retirement scheme contributors

Entities wanting to pay RSCT on contributions to retirement savings schemes must request approval from the Commissioner. To obtain the Commissioner's approval, the contributing entity and the retirement savings scheme must meet specified criteria. Only certain entities are eligible to be approved as retirement scheme contributors. They are:

- # companies (other than close companies)
- # widely-held unit trusts (see s [YA 1](#), definition of “widely-held trust”), and
- # Māori authorities.

In addition, the person for whom the contribution is being made must be a shareholder, unitholder or member of the contributing entity.

Retirement savings schemes

An entity is eligible to be a retirement savings scheme if:

- # the entity is a PIE ([¶29-110](#))
- # distributions from the scheme are restricted until the saver reaches the retirement age specified in the scheme's rules
- # the saver is not permitted to make withdrawals before retirement, except for:
 - # the repayment of a student loan
 - # the payment of tertiary education fees and expenses
 - # the purchase of housing if the saver does not own a home
 - # withdrawals that would be allowed if the scheme were a KiwiSaver scheme (eg significant financial hardship, serious illness, permanent emigration) ([Sch 1](#) of the KIW), or
 - # any other withdrawals under the distribution rules that have been approved as being fair and reasonable by the Commissioner, and
 - # the scheme's distribution rules have been approved by the Commissioner as being fair and reasonable, and include a rule that the scheme can request the saver to provide information to verify that a withdrawal complies with the rules.

Law: IT07 ss [RH 3](#), [RH 4](#)

Last reviewed on 31 December 2025

Retirement scheme contribution tax (RSCT) [¶29-310]

[¶29-310]

[Click to open document in a browser](#)

Eligible entities that make a retirement scheme contribution to an approved retirement savings scheme must pay RSCT to IR. RSCT is deducted at the tax rate of the person for whom the contribution is being made (ie the individual saver's tax rate) by the contributor from the amount of the contribution before it is paid to the retirement savings scheme. However, the contributor can appoint the scheme to act as its agent to make the deductions on its behalf.

The contributor (or the scheme, acting as the contributor's agent) is obliged to collect retirement scheme prescribed rates from individual savers to determine the rate at which RSCT should be deducted from the contributions. When the contributor is notified of the saver's tax file number and appropriate retirement scheme prescribed rate (see below), then the rate will apply to the contribution under [Sch 1 pt D cl 7](#).

Retirement scheme prescribed rates

The retirement scheme prescribed rates are defined in s [YA 1](#) by reference to the rates set out in [Sch 6, Table 2](#) (Prescribed rates: PIE investments and retirement scheme contributions).

From 1 April 2025, the retirement scheme prescribed rates for individual savers are:

10.5% if:

the individual saver's taxable income in either of the 2 previous income years was \$15,600 or less (previously, \$14,000)

the saver is a non-resident, the contributor is a M#ori authority and the distribution is \$200 or less, or

the saver is a non-resident, the contributor is a M#ori authority and the saver provides the M#ori authority with a notice under s [28C](#) of the TAA, including their IRD number

17.5% if the individual saver's taxable income in either of the previous 2 income years was more than \$15,600 (previously, \$14,000) but not more than \$53,500 (previously, \$48,000)

30% if the individual saver's taxable income in either of the previous 2 income years was more than \$53,500 (previously, \$48,000) but not more than \$78,100 (previously, \$70,000)

from 1 April 2021, 33% if the individual saver's taxable income in either of the previous 2 income years was more than \$78,100 (previously, \$70,000) but not more than \$180,000

0% if the saver is a non-resident and the contribution is non-resident passive income

39% (33% prior to 1 April 2021) otherwise.

Each individual saver should notify the contributor of their prescribed rate. Any such notification should include the saver's tax file number. If no prescribed rate is notified, RSCT is to be deducted at the default rate of 39% (33% before 1 April 2021).

Any retirement scheme contribution paid for the benefit of a person is excluded income of that person ([¶29-320](#)).

Payment of RSCT

Payments of RSCT should be made to IR by the 20th of the month following the month in which the deduction is made. Payments to IR should be accompanied by a statement showing the amount of the contribution, the amount of RSCT paid (other than by way of imputation credits or M#ori authority credits ([¶29-315](#))) and any other particulars required by the Commissioner. If a contributor (or the retirement scheme, if acting as the contributor's agent) fails to deduct RSCT from a contribution for a person, the unpaid tax becomes a debt payable to the Commissioner by the contributor, due on the 20th of the month following the month in which the contribution was made. Certain provisions of the RWT rules relating to the non-payment of tax are deemed to apply to the non-payment of RSCT (s [RA 24](#)). It is an offence to knowingly not deduct RSCT ([¶14-250](#)).

The Commissioner is empowered to make assessments of the amount of a retirement scheme contribution on which, in the Commissioner's opinion, RSCT should be imposed (s [98B](#) of the TAA).

Law: IT07 ss [BE 1\(5B\)](#), [RA 6B](#), [RA 10](#), [RA 15](#), [RA 24](#), [RH 2](#), [RH 5](#), [YA 1](#) ("retirement scheme prescribed rate"), [Sch 1 pt D cl 7](#), [Sch 6, Table 2](#); TAA ss [28C](#), [47B](#), [98B](#)

Last reviewed on 31 December 2025

RSCT — imputation and M#ori authority credits [¶29-315]

[¶29-315]

[Click to open document in a browser](#)

To the extent that a retirement scheme savings contribution is a distribution of profits to a shareholder, unitholder or member, imputation credits or M#ori authority credits (as appropriate) may be attached to the contribution, and used to meet the contributor's retirement scheme contribution tax (RSCT) liability in respect of the contribution.

If the amount of imputation or M#ori authority credits attached to the contribution exceeds the RSCT liability, the excess is treated as a credit to the individual saver, and can be used to reduce the individual saver's overall tax liability or be carried forward. If an excess occurs, the contributor (or the scheme, if acting as the contributor's agent) must give notice to the individual saver within 30 days showing the amount of the excess credit.

The contributing company must provide a shareholder dividend statement to its shareholder when it attaches imputation credits to a retirement scheme contribution ([¶17-090](#)). Similarly, a M#ori authority must give notice to a member of any taxable M#ori authority distribution paid to a retirement savings scheme as a retirement scheme contribution ([¶24-335](#)).

Law: IT07 ss [LE 7B](#), [LO 2B](#); TAA ss [29\(1\)](#), [31\(1\)](#)

Last reviewed on 31 December 2025

RSCT — excluded income and tax credits [¶29-320]

[¶29-320]

[Click to open document in a browser](#)

A retirement scheme contribution is excluded income to the individual saver to the extent that the contribution is:

- # money
- # an amount of imputation credit or M#ori authority credit used by the contributor to meet the RSCT liability in respect of the contribution ([¶29-315](#)).

The contribution will not be excluded income if:

- # an individual saver provides a lower RSCT rate than their actual rate, or the individual includes the contribution in their income tax return, or
- # the saver is a non-resident, and the contribution is non-resident passive income.

A tax credit is available to the saver under s [LB 6](#) if an amount of RSCT was deducted from a contribution that was not excluded income. Where RSCT is deducted from a contribution for a non-resident, the amount of RSCT deducted is treated, to the extent applicable, as being non-resident withholding tax in respect of that contribution. Any remaining amount of RSCT is treated as a tax credit under s [LB 6](#).

A retirement scheme contribution is also excluded income of the retirement savings scheme.

Law: IT07 ss [CX 50B](#), [LB 6](#), [RF 16](#)

Last reviewed on 31 December 2025

Record-keeping for retirement scheme contributions and RSCT [¶29-325]

[¶29-325]

[Click to open document in a browser](#)

The contributing entity is required to keep records of every contribution made to a retirement savings scheme, details of the recipient and the occasion of making the contribution.

The contributing entity (or the retirement savings scheme if it has been appointed to act as the contributor's agent) is required to send an annual reconciliation statement to IR showing the retirement scheme contributions subject to RSCT made for the year, the total RSCT liability, the amount of RSCT deducted and the imputation or M#ori authority credits used to pay the RSCT liability. The reconciliation statement should also include details for each person who received a contribution, including non-residents and details of contributions paid for non-residents. The annual reconciliation statement must be received by the Commissioner on or before the end of the second month following the end of the income year.

When a retirement scheme contributor or a retirement savings scheme withholds an amount of RSCT from a contribution (other than by way of imputation credit or M#ori authority credit), the contributor or scheme must provide the Commissioner with a statement in an acceptable form no later than the 20th of the month after the month in which the amount was withheld. The statement must show the amount of the contribution, the amount of RSCT and any other particulars required by the Commissioner.

Law: TAA ss [22\(2\)\(cb\)](#), [\(lb\)](#), [47B](#), [48B](#)

Last reviewed on 31 December 2025

Categories of superannuation scheme [¶29-400]

[¶29-400]

[Click to open document in a browser](#)

Superannuation scheme

A superannuation scheme is defined in s [YA 1](#) of the IT07 as:

- # a trust or unit trust established by its trust deed mainly for the purposes of providing retirement benefits to natural persons or paying benefits to superannuation funds, or
- # a non-resident company (not being a unit trust) established mainly for the purpose of providing retirement benefits to members (who are individuals) or relatives of members, or
- # an arrangement constituted under statute (other than the New Zealand Superannuation and Retirement Act 2001) mainly for the purpose of providing retirement benefits to natural persons, or
- # an arrangement constituted under the legislation of a foreign country, territory, state or local authority mainly for the purpose of providing retirement benefits to natural persons (other than retirement benefits resembling New Zealand superannuation), and
- # for a superannuation scheme that is a trust, means the trustees of the scheme.

Superannuation funds

A “superannuation fund” is defined to mean a retirement scheme within the meaning of s [6\(1\)](#) of the Financial Markets Conduct Act 2013. For a retirement scheme that is a trust, the definition includes the trustees of the trust.

A “retirement scheme” under the Financial Markets Conduct Act 2013 includes a KiwiSaver scheme or a superannuation scheme registered under the register of managed investment schemes. Also included within the definition are workplace savings schemes and [Schedule 3](#) schemes (broadly, these are single person self-managed superannuation schemes).

The Financial Markets Authority maintains a number of registers including the managed investment schemes register and the complying superannuation funds register.

The statutory governance rules for retirement schemes that are managed investment products are in [Pt 4](#), subpart 2 of the Financial Markets Conduct Act 2013.

Superannuation funds are treated, for tax purposes, as complying trusts. In brief, a trust with a settlor resident in New Zealand is taxable on all of its investment earnings. A trust that has always been so taxable is termed a “complying trust”, and any benefit paid by it, whether by pension or lump sum payment, is tax free in the beneficiary’s hands.

A complying superannuation fund is a superannuation scheme or workplace savings scheme that is identified as a complying superannuation fund on the register of managed investment schemes.

Non-registered superannuation schemes

Non-registered superannuation schemes fall within the meaning of unit trust and, for tax purposes, are treated as companies ([¶24-190](#)).

Law: IT07 ss [HC 10\(1\)\(b\)](#), [YA 1](#) (“[superannuation fund](#)”, “[superannuation scheme](#)”)

Last reviewed on 31 December 2025

Superannuation funds — income tax treatment [¶29-410]

[¶29-410]

[Click to open document in a browser](#)

Generally, contributions to superannuation funds are made from an individual's after-tax income. Superannuation funds are treated, for tax purposes, as complying trusts (s [HC 10\(1\)\(b\)](#)). The income of the fund is taxed at 39% and distributions to the investor are not taxed.

A superannuation fund that meets certain criteria can elect to enter the PIE regime and become a PIE. As a PIE, the superannuation fund will no longer be taxed as a trust. For the tax rules applying to PIEs, see [¶29-100](#) et seq.

The tax rate for widely-held superannuation funds, legacy superannuation funds, non-registered superannuation schemes and PIEs is 28%. The tax rate for superannuation funds that are not widely-held or legacy superannuation funds is 39% from 1 April 2024 and this is on the basis that such funds are close substitutes for private trusts (prior to 1 April 2024 such funds were taxed at 33%). For the distinction between superannuation funds and superannuation schemes see [¶29-400](#).

A “widely-held superannuation fund” is one that satisfies the investor membership requirements for an entity other than a company in the PIE rules (s [HM 14](#)) and one or more of the paragraphs of the definition of a “public unit trust” (s [YA 1](#) and [¶24-192](#)). In effect, this means that a superannuation fund would generally have to have at least 20 members to be eligible for the reduced tax rate.

A “legacy superannuation fund” is a new category of superannuation fund introduced from 1 April 2024 to mitigate the over-taxation of the 39% trustee rate. This type of fund is essentially a restricted workplace savings scheme that is closed to new members and previously qualified as a widely-held superannuation fund (s [YA 1](#)).

Taxation of contributions

Members of a superannuation fund cannot claim a deduction from their personal taxable income for superannuation contributions. Contributions are generally made from a member's after-tax income.

Where an employer makes a superannuation contribution for an employee, the employer is usually entitled to a deduction for the amount of that contribution.

There is also a specific timing rule for the deduction of contributions made within 63 days of the employer's income year ([¶10-292](#)). Further, the employer's contribution may be subject to employer's superannuation contribution tax (ESCT) ([¶29-420](#)) or may give rise to an FBT liability for the employer ([¶21-540](#)).

An employer's superannuation contribution is excluded income of the employee and of the superannuation scheme ([¶5-755](#)).

Taxation of fund income

The trustees of superannuation funds return trust income on the same basis as any other trustee under the IT07. However, there are specific exceptions and a number of measures that affect the way in which a superannuation fund may be taxed under the trust regime. For example, a superannuation fund is liable to tax irrespective of the settlor's residence. Only trustee income is derived by a superannuation fund. This is because the definition of “beneficiary income” excludes income derived by a trustee of a superannuation fund (s [HC 6\(2\)](#)).

Costs incurred with respect to the developing, marketing, selling, promoting and advertising for members of a superannuation fund may be deducted pursuant to s [DV 1](#). Concessionary rules in s [DV 2](#) apply to enable a superannuation fund that only invests in another superannuation fund and that does not have any taxable income to transfer its management expenses to the “master” superannuation fund. The “master fund” is then entitled to deduct those expenses against its taxable income.

Specifically excluded from the trustee income of a superannuation fund is any amount derived from investing funds in a policy of life insurance offered or entered into in New Zealand (s [CX 40](#)).

Taxation of distributions

All benefits paid from superannuation funds are exempt from tax, irrespective of whether they are paid in pension or lump sum form and irrespective of whether or not the beneficiary is a New Zealand resident. This applies to all benefits payable as a result of resignation, death or disablement of a member, and not just those benefits payable on the member's retirement.

Law: IT07 ss [CX 40](#), [CX 49](#), [DC 7](#), [DV 1](#), [DV 2](#), [HC 10](#), [HC 24–HC 26](#), [HC 29](#), [HC 33](#), [YA 1](#) (“[legacy superannuation fund](#)”, “[public unit trust](#)”, “[superannuation fund](#)”, “[superannuation scheme](#)”, “[widely-held superannuation fund](#)”), [Sch 1 pt A cls 3, 6](#)

Last reviewed on 31 December 2025

Employer's superannuation contribution tax (ESCT) [¶29-420]

[¶29-420]

[Click to open document in a browser](#)

#Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill proposes to remove the liability for ESCT when an employer or another person makes an employer's superannuation cash contribution for the benefit of a non-resident visitor. A "non-resident visitor" will be defined as a natural person who meets certain criteria. One requirement is that the person must only be present in New Zealand for 275 days or less in an 18-month period. If enacted, the proposed amendment will apply from 1 April 2026.

Employer's superannuation contribution tax (ESCT) is payable, subject to certain exemptions, on employer cash contributions to a superannuation scheme that meets the definition of a superannuation fund ([¶29-400](#)).

ESCT is imposed on a progressive scale on employer superannuation cash contributions or KiwiSaver contributions.

The applicable rates and thresholds are set out at CCH, *New Zealand Tax Rates, Dates and Depreciation Rates 2026* at [¶50-078](#).

The ESCT deduction rate is:

- # the employee's relevant progressive rate based on the total salary or wages and employer superannuation cash contributions paid to the employee in the previous year, or
- # 33%, if the contribution is made by the employer, or another person, for a past employee or employees and the bullet point below does not apply, or
- # 39% (33% before 1 April 2021), if the employer elects that rate and the contribution is to a defined benefit fund.

It has been clarified that if a rate or threshold change occurs that affects the amount of an employer's superannuation cash contribution, the rates and thresholds to be applied to determine the amount of tax to be withheld are those applying on the day on which the PAYE income payment to which the contribution relates is paid. If the PAYE rules treat a payment as paid on a different date from when it is actually paid, the relevant rates and thresholds are those on the date when the payment is treated as being made. Where an employer's superannuation cash contribution is made that is not tied to a particular PAYE income payment, the relevant rates and thresholds are those in force on the date on which the contribution is paid to the superannuation fund or under the KIW to IR (whichever applies).

Only the net amount of the employer's cash contribution, after the deduction of ESCT, is paid into the superannuation fund on behalf of the employee.

Employees may, with their employer's consent, elect for some or all of their superannuation cash contribution to be treated as salary or wages and subject to the PAYE rules. The employee's election is valid until they notify their employer of its revocation.

If an employer makes a non-monetary contribution to a superannuation scheme on behalf of an employee, the contribution is generally subject to fringe benefit tax (FBT) ([¶21-540](#)). Employer contributions to a superannuation scheme that is not a superannuation fund may be liable to FBT (*Tax Information Bulletin* [¶61-102 Vol 6, No 1](#), July 1994 at 1, and *Tax Information Bulletin* [¶67-110 Vol 6, No 7](#), December 1994 at 21).

A PAYE intermediary is also subject to the ESCT rules for any superannuation cash contribution payments made for an employer's employees.

Non-resident employer and ESCT

From 1 April 2023, s [RD 71B](#) provides that if a non-resident employer makes an employer's superannuation cash contribution or a contribution to a foreign superannuation scheme for a cross-border employee,

the employer will have to account for ESCT if the contribution applies to a period that the employee was providing services in New Zealand. The employer and employee may record in a document an agreement that the employee is liable to pay and report ESCT to IR (via the [IR 56](#) mechanism, see [¶3-303](#)). The employer must provide the employee with the necessary information to undertake the calculation.

Law: IT07 ss [BE 1\(5\)](#), [RA 5\(1\)\(c\)](#), [RD 64–RD 71B](#), [Sch 1 pt D cl 1](#)

Last reviewed on 31 December 2025

ESCT — payment date [¶29-425]

[¶29-425]

[Click to open document in a browser](#)

Employers or PAYE intermediaries must deduct ESCT and pay it to IR on the same basis as PAYE. However, ESCT is added to PAYE when determining whether PAYE and ESCT deductions have to be paid once or twice a month. If the total PAYE and ESCT deductions were under \$500,000 in the previous year, the employer has to pay the deductions to IR only once each month. Otherwise, deductions must be paid to IR twice each month.

The following are the payment due dates for employers or PAYE intermediaries who have to pay PAYE and ESCT deductions to IR twice each month:

- # deductions made between the 1st and 15th of the month are due by the 20th of that month, and
- # deductions made between the 16th and the end of the month are due by the 5th of the following month (or 15 January where December is the month of deduction).

If an employer or PAYE intermediary has to pay PAYE and ESCT deductions to IR only once each month, all PAYE and ESCT deductions made during the month are due by the 20th of the following month. Details of ESCT deductions must be included in the employment income information provided to IR ([¶3-023](#)).

An employer or PAYE intermediary who fails to pay any ESCT owing by due date is liable to the same penalties and fines that apply for missed or late PAYE deductions.

ESCT that is due and payable on employer superannuation cash contributions made in an income year is deductible in that income year. The timing of the deduction is prescribed by s [EF 2](#) ([¶10-292](#)).

Law: IT07 ss [DB 1\(2\)\(c\)](#), [EF 2](#), [RA 15](#), [RD 4](#), [RD 22](#); TAA s [47](#)

Last reviewed on 31 December 2025

Superannuation schemes and family assistance [¶29-435]

[¶29-435]

[Click to open document in a browser](#)

For the purposes of calculating family scheme income (ie determining assistance for low-income households), the Commissioner is empowered to include in income any distributions received from a superannuation scheme. Such a distribution may be apportioned when the distribution is received by an employee in the current or preceding 2 income years, the employee continues to be employed at least one month after the distribution and the employer has made a contribution in the year of distribution. However, s [MB 5](#) does not apply to a person receiving a distribution from a superannuation scheme on or after their retirement if the employer contributed to the superannuation scheme or if it is a KiwiSaver scheme or complying superannuation fund. As a result, an employee cannot reduce their income to a level whereby the employee would qualify for a family scheme tax credit.

Law: IT07 s [MB 5](#)

Last reviewed on 31 December 2025

Employee benefit funds [¶29-445]

[¶29-445]

[Click to open document in a browser](#)

Some employers operate funds (not being superannuation schemes) designed to provide individual personal benefits to their employees. Such funds often take the form of welfare funds that make up the salary of employees who are absent from work for health reasons. Many such funds assist employees to meet the costs of medical, dental and optical services. The employer is permitted a deduction for the whole or any part of the employer's contributions to such benefit funds. No deduction is allowed unless the fund has been established or the payment has been made in a manner that fully secures the rights of employees to receive the benefits.

Law: IT07 s [DC 6](#)

Last reviewed on 31 December 2025

Transfer scheme withholding tax [¶29-460]

[¶29-460]

[Click to open document in a browser](#)

A person may derive income when funds are transferred from a foreign superannuation scheme to a New Zealand superannuation scheme ([¶15-317](#)). The objective of the transfer scheme withholding tax (TSWT) is to allow a person who is transferring their UK pension fund to a New Zealand QROPS (or non-UK pension fund to a participating KiwiSaver scheme) to elect to have the New Zealand scheme (the “transfer scheme”) pay the New Zealand tax due on transfer on the person’s behalf.

The transfer scheme must either be a QROPS or a KiwiSaver scheme that elects to pay TSWT under subpart [RI](#).

A QROPS is a superannuation scheme in New Zealand that meets the definition of a qualifying recognised overseas pension scheme under the Finance Act 2004 (UK).

TSWT commenced on 1 April 2026. The tax is paid out of the transferred funds (the “scheme pays” method) at a flat rate of 28%. It is a final tax that applies when:

- # a person derives income in the form of a foreign superannuation withdrawal that is income under s [CF 3\(2\)\(b\)](#) ([¶15-317](#))
- # the income is from an interest in a foreign superannuation scheme that is withdrawn and reinvested in a superannuation scheme in New Zealand
- # the scheme in New Zealand is a transfer scheme, and
- # all or part of the foreign superannuation withdrawal is an assessable withdrawal amount for the person.

The person deriving the foreign superannuation withdrawal has 10 working days in which to notify the transfer scheme that TSWT is to be withheld from the assessable withdrawal amount. An election so made cannot be revoked. The assessable withdrawal amount is the foreign superannuation withdrawal a person derives that is not treated as exempt income under s [CF 3](#).

The transfer scheme must withhold TSWT from the assessable withdrawal amount at the rate of 28% and pay that amount to the Commissioner on a monthly basis. The due date for payment is the 20th day of the month after the month in which TSWT is withheld.

The Commissioner must refund any TSWT that a transfer scheme overpays. The 4-year time bar in s [108](#) of the TAA can apply when a transfer scheme has filed a return for TSWT (s [108\(1C\)](#) of the TAA).

It is an offence for a person to knowingly apply TSWT for a purpose other than payment to the Commissioner. No offence is committed if the deduction or withholding is accounted for and the failure to account for it within the prescribed time was caused by certain factors outside the person’s control. TSWT is a deduction or withholding of tax for this purpose.

When a person has elected not to have a transfer scheme withhold TSWT from an assessable withdrawal amount and will pay tax on their own behalf, that amount is reportable income. The Commissioner will take the amount into account when calculating the person’s taxable income.

See *Tax Information Bulletin* [¶375-102 Vol 37, No 5](#), June 2025 at p 40 for further discussion of the TSWT.

Transfer scheme reporting requirements

A transfer scheme paying a foreign superannuation withdrawal must provide investment income information to the Commissioner. The information is to be sent in electronic form by the 20th day of the month following a transfer of funds. Liability for giving the correct assessable withdrawal amount and personal information to the scheme rests with the person for whom the funds are transferred.

When a transfer scheme provides the Commissioner with information showing TSWT has been withheld from a person's assessable withdrawal amount, a tax credit arises for the tax year equal to the TSWT. The credit can be used only to satisfy the person's income tax liability on the assessable withdrawal amount.

Law: IT07 ss [LB 6BA](#), [RA 6BB](#), [RI 1](#), [RI 2](#), [RI 3](#), [RI 4](#), [RI 5](#), [RM 8B](#), [YA 1](#) ("[assessable withdrawal amount](#)", "[QROPS](#)", "[transfer scheme](#)", "[TSWT](#)"); TAA ss [22D](#), [25E](#), [143A](#)

Last reviewed on 31 December 2025